

DALAL & BROACHA STOCK BROKING PVT. LTD.

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REGD. & ADMN. OFFICE : 506, MAKER CHAMBERS V, 221, NARIMAN POINT, MUMBAI - 400 021.
Tel. : 2282 2992 / 2287 6173 • Direct : 6714 1459
Email : pms@dalal-broacha.com • Website : www.dalal-broacha.com

Portfolio Management Service

DALAL AND BROACHA STOCK BROKING PVT LTD

PMS SEBI Reg. No. INP000001975

DISCLOSURE DOCUMENT-PORTFOLIO MANAGEMENT SERVICES

(As required under Schedule V of Regulation 22 of the SEBI (Portfolio Managers) Regulations, 2020)

This document supersedes all earlier Disclosure Document filed with SEBI.

This Document has been filed with the Securities Exchange Board of India along with the certificate in the prescribed format in terms of Regulation 22 of the SEBI (Portfolio Managers) Regulations, 2020

The purpose of the Document is to provide essential information about the portfolio services in a manner to assist and enable the investors in making informed decision for engaging a Portfolio Manager.

This document contains all the necessary information about the Portfolio Manager. Investors need to carefully read the entire document before making any investment decision and should retain it for future reference.

All the intermediaries involved in the Portfolio Management Services are registered with SEBI as on the date of the document

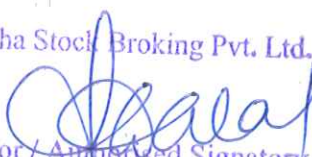
The name, phone number, e-mail address of the principal officer so designated by the portfolio manager is

Mr. Nailesh P. Dalal
Principal Officer (Director)
Dalal & Broacha Stock Broking Pvt. Ltd
(CIN No: U67120MH1997PTC111186)
506 Maker Chamber V
221 Nariman Point
Mumbai 400 021
Tel:+91 22 22822992
Fax:+91 22 22870092
nailesh.dalal@dalal-broacha.com

For Dalal & Broacha Stock Broking Pvt. Ltd.


Director / ~~Authorised~~ Signatory

For Dalal & Broacha Stock Broking Pvt. Ltd.


Director / Authorised Signatory

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1. Disclaimer

This Disclosure document has been prepared in accordance with the SEBI (Portfolio Managers) Regulations, 2020 as amended from time to time and filed with SEBI. This document has neither been approved nor disapproved by SEBI nor has SEBI certified the accuracy or adequacy of the contents of the document. This document is not for public distribution and has been furnished to you solely for your information and may not be reproduced or redistributed to any other person.

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This document is for information only and should not be construed as an offer or solicitation of an offer for managing the portfolio of any client. It does not have regard to specific investment objectives, financial situation and the particular needs of any specific person who may receive this document. Clients should seek financial advice regarding appropriateness of investing in any securities or investment strategies that may have been discussed or recommended in this report and should understand that the views regarding the future prospects may or may not be realized.

Neither this document nor the product offerings have been registered in any jurisdiction other than in India. The distribution of this document in certain jurisdiction may be restricted or totally prohibited and accordingly, persons who come into possession of this document are required to inform themselves about and to observe any such restrictions.

2. Definitions

Unless the context or meaning thereof otherwise requires, the Following expressions shall have the meaning assigned to them hereunder respectively:

"Agreement" means Client Broker agreement and shall include all schedules and annexure attached thereto

"Portfolio Manager" means any person who pursuant to a contract or arrangement with a client, advises or directs or undertakes on behalf of the Client (whether as discretionary portfolio manager or otherwise) the management or administration of the portfolio of securities or the funds of the Client, as the case may be.

"Investor" means any individual, partners in partnership, Central or State Government, company, body corporate, co-operative society, corporation, trust, society, Hindu Undivided Family (HUF) or



any other body of persons, whether incorporated or not.

"Discretionary Portfolio Management Services" means the portfolio management services rendered to the client, by the Portfolio Manager on the terms and conditions contained in the Agreement, where under, the Portfolio Manager exercises any degree of discretion in investments or management of assets of the Client.

"Non-Discretionary Portfolio Management Services" means the portfolio management services rendered to the client, by the Portfolio Manager on the terms and conditions contained in the Agreement, where under, the Portfolio Manager discretion in investments or management of assets of the Client. And the discretion is left to the client.

"Application" means the application made by the Client to the Portfolio Manager to place the monies and/or securities therein mentioned with the Portfolio Manager for Discretionary Portfolio Management Services.

"Assets" means (i) the Portfolio and/or (ii) the Fund.

"Bank Account" means one or more accounts opened, maintained, and operated by the Portfolio Manager with any of the Scheduled Commercial Banks in the name of the Client.

"Depository Account" means one or more account or accounts opened, maintained, and operated by the Portfolio Manager in the name of the Client with any depository participant, registered under the SEBI (Depositories and Participants) Regulations 1996.

"Custodian" means any person who carries on or proposes to carry on the business of providing custodial services.

"Funds" means the monies managed by the Portfolio Manager on behalf of the Client pursuant to this Agreement, and includes the monies mentioned in the Application, any further monies placed by the Client with the Portfolio Manager for being managed, pursuant to this Agreement, the proceeds of the sale or other realization of the Portfolio and interest, dividend or other monies arising from the Assets, so long as the same is managed by the Portfolio Manager.

"Net Asset Value" (NAV) is the market value of assets in portfolio consisting of equity, debt, mutual fund investment, cash, and cash equivalents.

"Parties" means the Portfolio Manager and the Client, and **"Party"** shall be construed accordingly.

"Person" includes any individual, partners in partnership, central or state government, company, body corporate, cooperative society, corporation, trust, society, Hindu Undivided Family, or any other body of persons, whether incorporated or not.

"Portfolio" means the Securities managed by the Portfolio Manager on behalf of the Client pursuant to this Agreement, and includes any Securities mentioned in the Application, any further Securities placed by the Client with the Portfolio Manager for being managed pursuant to the Agreement, Securities acquired by the Portfolio Manager through investment of Funds and bonus



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and right shares in respect of Securities forming part of the Portfolio, so long as the same is managed by the Portfolio Manager.

"Portfolio Management Fees" shall have the meaning attributed thereto in Clause 5 below.

"Regulations" means the Securities and Exchange Board of India (Portfolio Managers) Regulations, 2020.

"Rules" means Securities and Exchange Board of India (Portfolio Managers) Rules, 2020.

"Scheduled Commercial Bank" means any bank included in the second Schedule to the Reserve Bank of India Act, 1934 (2 of 1934)

"SEBI" means the Securities and Exchange Board of India established under Sub-Section (1) of Section 3 of the Securities and Exchange Board of India Act.

"Securities" includes Securities as defined under the Securities Contracts (Regulation) Act, 1956 includes shares, scrip's, stocks, bonds, warrants, convertible and non-convertible debentures, fixed return investments, equity linked instruments, negotiable instruments, deposits, money market instruments, commercial paper, certificates of deposit, units issued by the Unit Trust of India and /or by any mutual funds, mortgage backed or other asset backed securities, derivatives, derivative instruments, options, future, foreign currency commitments, hedges, swaps or netting off and any other securities issued by any company or other body corporate, any trust, and entity, the Central Government, any State Government or any local or statutory authority, any such other instruments as may be declared by the Central Government to be securities; and all money rights or property that may at any time be offered or accrue (whether by rights, bonus, redemption, preference, option or otherwise) and whether in physical or dematerialized form in respect of any of the foregoing or evidencing or representing rights or interest therein; and any other instruments or investments (including borrowing or lending of securities) as may be permitted by applicable law, from time to time.

3. History, Present Business and Background of the Portfolio Manager

With more than five decades of experience behind us, we at Dalal & Broacha, are today one of the leading Stockbrokers of India. The company is incorporated under the Companies Act, and is a member of the National Stock Exchange and BSE Ltd. (erstwhile Bombay Stock Exchange)- Mumbai as well as holds a seat on the National Stock Exchange on both the capital market as well as the derivatives segment. On the Institutional side we do business with most of the Indian Financial Institutions, the firm's satisfied client base is its main driving force.

Efficiency, integrity, and transparency in transaction have helped build trust, the raison dieter of the long-standing close customer relationships we cherish. Our customers rely completely on our principles of constant innovation and consistency of performance. In keeping with these principles, we have successfully serviced our diverse client base, which includes many Indian Financial Institutions, some Corporates, Banks, Mutual Funds as well as Foreign Institutional Investors. In addition, our customer base includes about seven thousand retail customers including Non-Resident Indians. We pride ourselves for being amongst the first to service the FII



②

clients when the markets opened further in 1993.

4. Promoters, Directors and their background

Mr. Nailesh Dalal

A Bachelor of Commerce and a management diploma holder, his strength lies in understanding people, whether employees or customers. In the field for the last forty three years, his excellence in people management skills is a definite advantage to the firm.

He handles the firm's retail broking as well as its finance functions. For the last nineteen years his focus has been individual investors. His skill lies in identifying the financial needs of an individual client and suggesting an investment strategy that is suitable for his needs.

Mr. Vipul Dalal

Dalal & Broacha's strong institutional relationships, built over the last thirty-seven years, are due to the efforts of Vipul Dalal. The firm's focus on institutional business increased after he joined the firm. The place the firm has made amongst its institutional buyers is solely due to his efforts.

His role in research is to study the business environment in the country and to take a broader view of the economy. This in combination with sector or company specific view of the research department helps the firm to devise an investment strategy for the Institutional as well as HNI investor.

Mr. Parimal Merchant

Mr. Parimal Merchant is a Cost Accountant & a Law Graduate & is a Management Consultant. He is a faculty and Director of Global Family Managed Business Program at S. P. Jain school of Global Management and brings a rich diversified knowledge of various businesses with him. He has forty One years of experience as a management consultant. Prior to this he has worked in the stock market for six years with Sushil Financial Consultants Ltd. Member BSE.

5. Details of the Other Licenses (apart from Broking)/ Associated firms of Dalal & Broacha Stock Broking Pvt Ltd are :

Dalal & Broacha Stock Broking Pvt. Ltd.

It has Registration under Research Analyst Regulations, 2014.

It has Registration under Depository and Participants Regulation, 2018 (erstwhile 1996 regulations)

Central Finance Securities Pvt. Ltd.

RBI approved NBFC without Public Fixed Deposit. However, the main area of business is dealing in debt.



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Neelhari Holdings Pvt. Ltd.

It is predominantly into investments & Trading in Equity

Dalal & Broacha Commodities Pvt. Ltd.

It has Registration with NSEL for Commodity Segment. (Inactive Member)

Dalal & Broacha Portfolio Managers Private Ltd.

SEBI Registered Investment manager established in 2019.

D&B INDIA OPPORTUNITIES MULTICAP FUND

This is Alternate Investment Fund. Which started investing in Dec-2019.

6. Penalties, pending litigation or proceedings, findings of inspections or investigations for which action may have been taken or initiated by any regulatory authority.

(i) Cases of penalties imposed by SEBI or the directions issued by SEBI under the SEBI Act or Rules and Regulations made there under	None
(ii) The nature of the penalty / direction	Not Applicable
(iii) Penalties imposed for any economic offence and/ or for violation of any securities laws	None
(iv) Any pending material litigation/ legal proceedings against the portfolio manager / key personnel with separate disclosures regarding pending criminal cases, if any	None
(v) Any deficiency in the systems and operations of the portfolio manager observed by the Board or any regulatory agency	None
(vi) Any enquiry / adjudication proceedings initiated by the Board against the portfolio manager or its Directors, Principal Officer or employee or any person directly or indirectly connected with the portfolio manager or its Directors, Principal Officer or employee, under the Act or rules or Regulations made there under	None



7. Portfolio Management Services being offered by Dalal & Broacha Stock Broking Pvt. Ltd.

The services being offered under discretionary management would be predominantly equity oriented (securities listed or traded on a recognized stock exchange) with leeway to the fund manager to park the funds in any other approved instruments such as; money market instruments, units of Mutual Funds and other securities as specified by SEBI from time to time. Under both the services corpus for investing will be accepted only by cross account payee cheque or securities in lieu of cash.

The pure advisory services would entail a thorough **one time analysis** of the portfolio and advising the client on his investments after understanding his investment goals.

Minimum Investment Amount:

The Minimum amount for availing PMS services is Rs. 50,00,000/- (Rupees fifty lakhs only) or any such amount as specified by SEBI from time to time.

Details of Services Offered

I) Pure Advisory

This service is targeted towards small investors. This would entail a thorough **one time analysis** of the portfolio and advising the client on his investments after understanding his investment goals.

II) Long term growth.

These services would focus on long term investment. Focus would be to deliver superior returns by investing in Good businesses with decent management at reasonable price. The holding period/ duration of the PMS should be at least two-three years.

The benchmark index would be NSE Nifty.

III) Dynamic Growth

These services would be a more dynamic plan than the Long-term Plan. It would be a combination of short term as well as long term opportunities. The investment decision would be driven by technical as well as fundamental factors in these services.

This would specifically be for people who understand the risk of the strategy and are comfortable with the strategy.

The benchmark index would be NSE Nifty

IV) Mutual Fund Portfolio Management Services

Under these services, the portfolio manager will invest into various mutual fund services across asset classes. Whether listed or unlisted. The fund would have leeway to park the funds in any mutual fund services whether debt, equity, or any other asset class. Corpus for investing will be



accepted only by cross account payee cheque.
The benchmark index for the services would be NSE Nifty.

Fee Structure for Mutual Fund Portfolio Management Services

There will not be any management fees for the services as the company would be entitled to a commission from the mutual funds in whose schemes it would invest.

V) Aggressive Long Term Capital Appreciation Portfolio Management Services

Under this service, the portfolio manager will invest to achieve aggressive long term capital appreciation by investing in companies with the following characteristics:

- ✓ **Market Dominance:** We will principally focus on companies that are market leaders in their segment
- ✓ **Entry Barriers:** We look to invest in companies that have high entry barriers.
- ✓ **Management:** Superior management is a must.
- ✓ **Financial efficiency:** We will principally invest in companies which have high returns on capital employed over extended periods of time.
- ✓ **Low debt:** We will avoid companies with high leverage except in case of a turnaround.
- ✓ **Dividend track record:** We will look out for companies with a superior long term dividend record.
- ✓ **Low valuations:** High margin of safety. We will look out for valuation where our entry point is low valuations. We rarely acquire a stock where our margin of safety is low.
- ✓ **Out of Fashion:** We would invest in stocks and industries that are not in favor and are virtually forgotten.
- ✓ **Entry point on low volumes:** We would invest in forgotten stocks. They tend to have relatively low trading volumes.
- ✓ **Key macro trends:** We would also look for stocks that will capture key macro growth trends.

The Benchmark for the services would be the **NIFTY INDEX**

SCHEDULE OF FEES

AS PER ANNEXURE



8. The expenses that the client will have to incur in case of the discretionary services would be as follows

- **Investment management and advisory fees**

As Per Annexure attached

- **Depository Participant Fees (Demat charges)**

The charges relating to opening and operation of demat accounts, custody and transfer charges for shares, bonds and units, dematerialization, re-materialization, and other charges in connection with operation and management of the depository accounts. These would be payable to the depository participant with whom an account is maintained. Above demat charges would be payable to Dalal & Broacha Stock Broking Pvt. Ltd. who is a depository participant of the CDSL, in case client wishes to maintain depository account with it. Demat Charges would be in addition to the management fees as mentioned above.

- **Custodian Fees**

Custodian fees would be payable for availing custodial services by the custodian and will be recovered at actuals.

- **Registrar and transfer agent fee**

Though physical delivery and transfer of securities has been eliminated in most of the cases, if an investment is made in a security where physical delivery and transfer of security is necessary, any charges pertaining to the same will be borne by the client.

- **Brokerage and transaction cost**

In addition to all the above costs, any charges incidental to buying and selling of securities such as brokerage and other transaction cost like Goods and Service Tax, Stamp Duty, Transaction Charges, Securities Transaction, Turnover fees etc. would be borne by the client.

- **Certification and professional charges**

Charges payable for outsourced professional services like accounting, taxation and legal services, notarizations, certifications, attestations required by bankers and regulatory authorities.

- **Other Charges**

As mutually discussed, and agreed by the Portfolio Manager and the client.

9. Risk factors

Securities investments are subject to market risk and there is no assurance or guarantee that the objectives of the services will be achieved.

Past performance of the portfolio manager does not indicate the future performance of the same services in future or any other future services of the portfolio manager.

The Investment would also carry risk arising from the investment objective, investment strategy and asset allocation.

Being a predominantly equity-oriented services there would be risk arising out of non-



diversification.

The following are the risk factors as perceived by the management:

- (i) The PMS will be implemented strictly in accordance with SEBI (Portfolio Managers) Regulations, 2020 and amendments thereto. Investors are requested to familiarise themselves with these regulations.
- (ii) Securities investments are subject to a wide range of market risks, which include amongst others, and by way of illustration, may lead to an unpredictable loss in value of the Assets, which may extend to a total loss of value of the Assets.
- (iii) The Portfolio Manager does not guarantee or assure the client of the value of or returns on the Assets, in any manner whatsoever. The value of the Assets under the Discretionary Portfolio Management Service may stand a risk of total loss of capital and the client should be aware that they may lose all or any part of their investments with portfolio manager.
- (iv) The past performance of the scheme, promoters or Directors is not indicative of and does not guarantee future performance of the scheme.
- (v) The performance of the schemes may be affected by changes in Government policies, general levels of interest rates and risks associated with trading volumes, liquidity and settlement systems in equity and debt markets.
- (vi) Investments in debt instruments are subject to default risk and interest rate risk. Interest rate risk results from changes in demand and supply for money and other macro-economic factors and creates price changes in the value of the debt instruments. Consequently, the NAV of the portfolio may be subject to fluctuation.
- (vii) Investments in debt instruments are subject to re-investment risks as interest rates prevailing in interest or maturity due dates may differ from the original coupon of the bond, which may result in the proceeds being invested at a lower rate.
- (viii) The Portfolio Manager has a sound track record and has experience of managing client portfolio since August 24, 2007.

10. Client Representation (Last 3 Years)

(i)

Category of clients		No. of clients	Funds managed (Rs. Cr)	Discretionary/ Non-Discretionary (if available)
F.Y.2022-23	Associates /group companies	0	0	Discretionary
	Related Parties	11	10.56	Discretionary
	Others	370	467.44	Discretionary



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	Total	381	478.00	
F.Y.2023-24	Associates /group companies	0	0	Discretionary
	Related Parties	11	16.74	Discretionary
	Others	394	773.87	Discretionary
	Total	405	790.61	
F.Y.2024-25	Associates /group companies	0	0	Discretionary
	Related Parties	11	19.55	Discretionary
	Others	517	1024.68	Discretionary
	Total	528	1044.23	

The Portfolio Manager has three categories of clients – Resident Indians, NRIs and Non-individual category clients

(ii) Disclosure of Related Party Transactions in terms of requirements as per the Accounting Standard – 18 (AS – 18)

Names of the related parties and description of relationship

Sr. No.	Name of the Party	Particulars
1.	Central Finance Securities Private Limited Neelhari Holdings Private Limited Dalal & Broacha	Associates Enterprise
2.	Mr. Nailesh P. Dalal Mr. Vipul P. Dalal	Key Management Personnel
3.	Smt. Smruti N. Dalal Smt. Sonal V. Dalal Mr. Hriday N. Dalal Mr. Nilay N. Dalal Mr. Rohan V. Dalal Smt. Pallavi H. Dalal Smt. Darshita N. Dalal	Relatives of Key Management Personnel
4.	Dalal & Broacha Commodities Pvt. Ltd Dalal & Broacha Portfolio Managers Pvt. Ltd.	Wholly Owned Subsidiary

(Figures in brackets pertain to previous year)



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Figures Rs. In Lakhs

Sr. No	Particulars	Wholly Owned Subsidiary	Associates	Key Management Personnel	Relatives of Key Management Personnel
			Rs.	Rs.	Rs.
1	Expenditure				
	Salary	Nil (Nil)	Nil (Nil)	180.00 (180.00)	281.00 (281.00)
	Professional Fees	Nil (Nil)	Nil (Nil)	Nil (Nil)	15.00 (15.00)
	Lease Payments	Nil (Nil)	9.75 (9.75)	6.04 (6.04)	18.77 (18.77)
2	Income				
	Brokerage	Nil (Nil)	6.10 (6.10)	7.51 (7.51)	10.85 (10.85)
3	Other Transactions of the related parties with the company				
	Purchase of Securities	Nil (Nil)	693.84 (693.84)	4066.77 (4066.77)	2643.15 (2643.15)
	Sale of Securities	Nil (Nil)	593.09 (593.09)	4008.34 (4008.34)	2767.12 (2767.12)
	Purchase of Bonds	Nil (Nil)	82.15 (82.15)	Nil (Nil)	Nil (Nil)
	Sale of Bonds	Nil (Nil)	9.98 (9.98)	Nil (Nil)	Nil (Nil)
4	Outstanding as at March 31,2023 in respect of broking transactions				
	Debtors	Nil (Nil)	Nil (Nil)	Nil (Nil)	Nil (Nil)
	Creditors	Nil (Nil)	0.49 (0.49)	40.53 (40.53)	22.56 (22.56)

(iii) Details of conflicts of interest related to services offered by group companies or associates of the portfolio manager:

While providing portfolio management services to the clients, services of group companies or associates were not availed except Demat and trade execution services; which were provided by the depository participant and equity broking divisions of the company respectively.

11. Financial Results of Dalal & Broacha Stock Broking Pvt. Ltd.

Following are the Audited Financial Results of Dalal & Broacha Stock Broking Pvt. Ltd. for the past three years.



Particulars	2021-2022	2022-2023	2023-2024
	Rs. Lakhs	Rs. Lakhs	Rs. Lakhs
Total Income	8650.22	7075.75	8871.05
Total Expenditure	3071.21	2979.96	3418.70
Profit Before Tax	5579.01	4095.78	5452.35
Tax Expense	987.01	705.57	1111.54
Profit After Tax	4592.00	3390.21	4340.81

12. Portfolio Performance:

Assets under Management:

Services	As on 31.03.2023	As on 31.03.2024	As on 31.03.2025
	Rs. Lakhs	Rs. Lakhs	Rs. Lakhs
Long Term Growth	40024.03	67487.38	92536.44
Aggressive Long term Capital Appreciation	7776.23	11573.97	11886.89

Portfolio Management Performance:

Services	01.04.25 To 31.05.25	2024-25	2023-24	2022-23
Long Term Growth-Weighted Return	11.86	10.94	51.31	-11.45
Benchmark Index: Nifty 50 TRI	5.47	6.65	30.08	0.59

Services	01.04.25 To 31.05.25	2024-25	2023-24	2022-23
Aggressive Long term Capital Appreciation	14.70	-0.44	53.17	22.12
Benchmark Index: Nifty 50 TRI	5.47	6.65	30.08	0.59

Disclaimer: The Performance related information provided above is not verified by SEBI.

13. Disciplinary action by regulatory authorities

We confirm that there have been no Penalties, pending litigation or proceedings on account of findings of inspection or investigations for which action may have been taken or initiated by any regulatory authority.



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14. Taxation

Considering the individual nature of tax consequences, each client is advised to consult its own tax adviser with respect to the specific tax consequences.

Prospective investors should consider the following summary of certain taxation aspects affecting investments in Indian securities market.

The following summary is based on the law and practice of the income tax act, 1961, the income-tax rules, 1962 and various circulars and notifications issued there under from time to time. The Income Tax Act is amended every year by the finance act of the relevant year and this summary reflects the amendments made by finance act, 2025. The tax rates specified below are for the financial year 2025–2026 (assessment year 2026-27) as amended by Finance act, 2025. These rates are exclusive of surcharge and health and education cess and are stated at the highest applicable rates.

I. **Tax rates**

The tax rates stated in this tax chapter are exclusive of surcharge and health and education cess (unless stated otherwise).

The tax rates are applicable for the financial year 2025-26. The rate of surcharge and health and education cess are as under:

a. Surcharge

Surcharge rates are provided below:

Type of Investor	Surcharge rate as a % of income-tax (refer notes below)		
	If income does not exceed INR 1Crore	If income exceeds INR 1 crore but less than or equal to INR 10 Crores	If income exceeds INR 10 Crores
Partnership firm and limited liability partnership (Domestic and foreign)	Nil	12%	12%
Domestic Company	Nil	7%	12%
Foreign Company, including FPI incorporated as a company	Nil	2%	5%



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Note: In the case of domestic companies and co-operative societies having income chargeable under section 115BAA and 115BAB (for companies) and 115BAD (for co-operative societies) of the ITA, surcharge of 10% is applicable irrespective of taxable income.

Type of Investor	Surcharge rate as a % of income-tax (refer notes below)				
	If income is less than INR 50 lakhs	If income is more than INR 50 lakhs but less than or equal to INR 1 Crore	If income exceeds INR 1 Crore but less than or equal to INR 2 Crores	If income exceeds INR 2 Crores but less than or equal to INR 5 Crores	If income exceeds INR 5 crores
Individual, Hindu Undivided Family ('HUF'), association of person ('AOP')/ body of individuals ('BOI') (Resident and non-resident)	Nil	10%	15%	25%	37%

Notes:

1. In the case where the total income includes dividend income or income referred to in section 111A or section 112 or section 112A of the ITA, surcharge on such income shall not exceed 15%.
2. In the case where the total income of foreign portfolio investor ('FPI') includes dividend income or any income in the nature of short-term capital gains referred to in section 111A or long-term capital gains referred to in section 112 or section 112A of the ITA, surcharge on such income shall not exceed 15%.
3. As per the Finance Act 2024, the Alternative Tax Regime under section 115BAC of the ITA is now a Default Tax Regime. The highest surcharge leviable under the Default Tax Regime shall not exceed 25%.

In this tax chapter, we have used the term "applicable slab rates" or "at the ordinary income-tax rates applicable" at many places. The slab rates which are applicable for individuals / HUF / AOP / BOI (only if they opt out of the Default Tax Regime) are as follows:

Total Income (Refer notes below)	Tax rates (refer to notes below)
Up to INR 2,50,000	Nil



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From INR 2,50,001 to INR 5,00,000	5%
From INR 5,00,001 to INR 10,00,000	20%
INR 10,00,001 and above	30%

Notes:

1. The Central Government *vide* the Finance (No. 2) Act, 2019, has provided for a rebate on tax on total income of upto INR 5,00,000 for resident individual assessee.
2. In the case of a resident individual of the age of 60 years or more but less than 80 years at any time during the year, the basic exemption limit is INR 3,00,000.
3. In the case of a resident individual of the age of 80 years or more at any time during the year, the basic exemption limit is INR 5,00,000.

Under the Default Tax Regime, Individual and HUF may have an option to pay tax on its total income at the reduced tax rates. The income, however, has to be computed without claiming prescribed deductions or exemptions. Further, the Finance Act, 2024 amended the provisions of section 115BAC of the Act. As per the amended provisions, section 115BAC is also applicable to AOP [other than a cooperative society], or BOI, whether incorporated or not, or an artificial juridical person referred to in clause (vii) of section 2(31) of the ITA.

If the individual/HUF/AOP/BOI do not opt out of the Default Tax Regime, the following slab rates should be considered as 'applicable slab rates':

Total Income	Tax rates (Refer notes below)
Up to INR 4,00,000	Nil
From INR 4,00,001 to INR 8,00,000	5%
From INR 8,00,001 to INR 12,00,000	10%
From INR 12,00,001 to INR 16,00,000	15%
From INR 16,00,001 to INR 20,00,000	20%
INR 20,00,001 to INR 24,00,000	25%
INR 24,00,001 and above	30%

Note: The Central Government *vide* Finance Act 2025, the government has increased the rebate on tax on total income of upto INR 12,00,000 for resident individual assessee if such



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individual is opting for the Default Tax Regime.

b. Health and education cess

In addition to the above, health and education cess at the rate of 4% is leviable on aggregate of tax and surcharge.

II. Various streams of income

- The investors would primarily earn income from the following streams:
 - Interest income;
 - Dividend income;
 - Gains on transfer of securities (other than specified buy-back)/ mutual funds;
 - Gains on specified buy-back of shares; and

Interest Income

Interest income would be subject to tax in the hands of resident investors at the ordinary income-tax rates applicable to them.

Resident Investor

Income earned by	Tax rate
Resident companies (Refer Note 1 and 2)	15%/ 22%/ 25%/ 30%
Firms / LLPs	30%
Others (Refer Note 3)	As per applicable slab rates, maximum being 30%

Notes:

1. As per the Finance Act, 2025 a reduced the tax rate of 25% is applicable to domestic companies having total turnover or gross receipts not exceeding INR 400 crores in the FY 2023-24.
2. The tax rates for resident companies exercising the option under section 115BAA and section 115BAB of the ITA shall be 22% and 15% respectively, subject to fulfilment of conditions prescribed in the said sections.
3. As per the Finance Act 2023, the new Tax Regime under section 115BAC of the ITA is now the Default Tax Regime. Further, Individuals, HUF, AOP [other than a cooperative society], or BOI, whether incorporated or not, or an artificial juridical person referred to in clause (vii) of section 2(31) of the ITA may have an option to pay tax on their total income at the reduced tax rates as per 115BAC in the ITA. The income would however have to be computed without claiming prescribed deductions or exemptions.

The Finance Act, 2025 amended the income-tax slab rates under section 115BAC of the ITA as tabulated above at paragraph I.

Non-resident Investors



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The interest income earned by the non-resident unitholder (being corporate entity / non-corporate entity) shall be generally (unless certain conditions are satisfied) taxable at the applicable rates. For entities other than foreign companies, the general tax rate would be 30%. Further, as per Finance Act 2024, the tax rate for foreign company is reduced from 40% to 35%.

However, this rate shall be subject to the concessional tax rate specified in the Tax Treaties of the respective jurisdictions of the unitholders (if available) and subject to applicable conditions.

Further, in case the investments made by the non-resident Indian ('NRI') individual investors are entitled to be governed by the special tax provisions under Chapter XII-A of the ITA and if the NRI investors opt to be governed by these provisions under the ITA, the interest income from specified assets (which includes debentures issued by public companies) should be taxable at the rate of 20% on gross basis.

Dividend Income

The Indian Company declaring dividend on or after 1 April 2020, is not required to pay any DDT on dividend distributed/ paid/ declared to its shareholders. The dividend income is taxable in the hands of the shareholders under section 56 of the ITA under the head 'Income from Other Sources' at the applicable rates. Further, the taxpayer can claim a deduction of interest expenditure under section 57 of the ITA (i.e. upto 20% of the dividend income).

However, no deduction of expenditure is allowed in respect of any dividend income referred to in section 2(22)(f) [i.e., income-from buy back of shares]

As per section 80M of the ITA, in case any Indian company receives dividend from another Indian company or foreign company or business trust and the dividend is distributed by the first mentioned Indian company before the specific due date [i.e. one month prior to the date of filing tax return under section 139(1) of the ITA], then deduction can be claimed by such Indian company of so much of dividend received from such another Indian company or foreign company or business trust.

As per the provisions of section 194 of the ITA an Indian Company/Mutual Fund declaring dividend would be required to deduct tax at 10% (in case of payment to resident investors) where the aggregate of the amounts of such dividend distributed or paid or credited or likely to be distributed or paid or credited during the financial year to the shareholder/ unitholder, exceeds INR 10,000 and at specified rates/ rates in force (in case of payment to non-resident investors). In case, the dividend income is paid to an FPI, the rate of tax deduction as per section 196D of the ITA is 20% subject to availability of benefits under the double taxation avoidance agreement ('Tax Treaty'), if any.

Accordingly, per the latest provisions of the ITA, the dividend income (net of deductions, if any) is taxable at the following rates (plus applicable surcharge and cess):

Resident investors:



Dividend income received by	Tax rates for resident investors
Domestic companies (Refer Note 1 and 2)	15%/ 22%/ 25%/ 30%
Resident firms / LLPs	30%
Resident individuals / HUFs/ AOP / BOI (Refer Note 3)	As per applicable slab rates, maximum being 30%

Notes:

1. As per Finance Act, 2025, the rate of tax shall be 25% (plus applicable surcharge and health and education cess) in case of domestic companies having total turnover or gross receipts not exceeding INR 400 crore in the Financial Year 2023-24 (Assessment Year 2024-25).
2. Further, the tax rates for certain domestic companies exercising the option under section 115BAA and section 115BAB of the ITA shall be 22% and 15% respectively (plus fixed surcharge at the rate of 10% and cess at the rate of 4%), subject to permissibility and fulfilment of conditions prescribed therein.
3. As per the Finance Act 2023, the new Tax Regime under section 115BAC of the ITA is now the Default Tax Regime. Further, Individuals, HUF, AOP [other than a cooperative society], or BOI, whether incorporated or not, or an artificial juridical person referred to in clause (vii) of section 2(31) of the ITA may have an option to pay tax on their total income at the reduced tax rates as per 115BAC in the ITA. The income would however have to be computed without claiming prescribed deductions or exemptions.

Similarly, distribution of income by mutual fund will be taxed directly in the hands of the unitholders of the mutual fund at the ordinary income-tax rates applicable to them. Therefore, the rates provided above shall apply.

The Finance Act, 2025 amended the income-tax slab rates under section 115BAC of the ITA as tabulated above at paragraph I.

Non-resident Investors:

Dividend income shall be taxable in the hands of the non-resident unitholders at the rate of 20% (on gross basis) under the ITA.

However, this rate is subject to the tax rate specified in the Tax Treaties of the respective jurisdictions of the investors and subject to applicable conditions and if the Tax Treaty benefits are available, gross amount of dividend should be chargeable to tax at the rates stated in the Tax Treaties.

Indian company is required to withhold taxes at 20% (plus applicable surcharge and cess) / rates in force.

Gain on transfer of securities



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Gains arising from the transfer of securities held in the Indian portfolio companies may be treated either as 'capital gains' or as 'business income' for tax purposes, depending upon whether they were held as a capital asset or trading asset (i.e. stock-in-trade). Traditionally, the issue of characterization of exit gains (whether taxable as business income or capital gains) has been a subject matter of litigation with the tax authorities. There have been judicial pronouncements on whether gains from transactions in securities should be taxed as 'business profits' or as 'capital gains'. However, these pronouncements, while laying down certain guiding principles have largely been driven by the facts and circumstances of each case.

Also, the CBDT had issued an internal instruction¹ in respect of characterisation of gains as either capital gains or business income. The key illustrative factors indicative of capital gains characterisation (not business income) are provided below.

Following are the key illustrative factors indicative of capital gains characterization (and not business income):

- Intention at the time of acquisition – capital appreciation;
- Low transaction frequency;
- Long period of holding;
- Shown as investments in books of accounts (and not as stock-in-trade);
- Use of owned funds (as opposed to leveraged funds) for acquisition;
- Main object in constitution document is to make investments;
- Higher level of control over the investee company

Further, regarding characterisation of income from transactions in listed shares and securities, the CBDT had issued a clarificatory Circular No. 6 of 2016 dated 29 February 2016, wherein with a view to reduce litigation and maintain consistency in approach in assessments, it has instructed that income arising from transfer of listed shares and securities, which are held for more than twelve months would be taxed under the head 'Capital Gains' unless the tax-payer itself treats these as its stock-in-trade and transfer thereof as its business income. However, the CBDT Circular 2016, did not deal with the treatment of Capital Gains arising on transfer of unlisted shares.

In the context of transfer of unlisted shares, the CBDT has issued a clarification vide instruction no. F.No. 225/12/2016/ ITA.II dated 2 May 2016 stating that income arising from transfer of unlisted shares would be considered under the head 'Capital Gains' irrespective of the period of holding with a view to avoid dispute/ litigation and to maintain uniform approach (with tax treatment on transfer of listed shares). However, the above shall not apply in the following cases:

- The genuineness of transactions in unlisted shares itself is questionable; or
- The transfer of unlisted shares is related to an issue pertaining to lifting of corporate veil; or



- The transfer of unlisted shares is made along with the control and management of underlying business and the Indian revenue authorities would take appropriate view in such situations.
- ***If the gains from the investments are characterized as capital gains:***

As per section 45 of ITA, any profits or gains arising from the transfer of capital assets are chargeable to income tax under the head 'capital gains'. Further, section 48 of ITA provides that income chargeable as capital gains is the difference between the full value of the consideration received or accrued for the transfer, on the one hand, and the cost of acquisition / indexed cost of acquisition (as applicable) of such asset plus expenditure in relation to such transfer, on the other. The capital gains will be classified as long term capital gain (LTCG) or short term capital gain (STCG), depending upon the period of holding of the assets. The period of holding of an asset is determined as follows:

Type of Instrument	Period of Holding	Characterization
Listed securities (other than a unit), Unit of equity oriented Fund, units of the Unit Trust of India and Zero Coupon Bonds	More than 12 months	Long Term Capital Asset
	12 months or less	Short Term Capital Asset
All other capital assets	More than 24 months	Long Term Capital Asset
	24 months or less	Short Term Capital Asset
Market Linked Debenture and Units of Specified Mutual Fund (Note 3 below)	Not applicable	Short Term Capital Asset
Unlisted Debentures and Bonds (Note 3 below)	Not applicable	Short Term Capital Asset

Capital gains should be taxable in the hands of investor at the rates mentioned in the table below:



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		30% (in case of other non-resident non-corporates)
Units of mutual fund (other than equity-oriented fund on which STT is paid and units of Specified Mutual Fund)	12.5% (without indexation) (Note 4 and 5)	Slab rates for individuals (Note 1) 35% (in case of foreign company), 30% (in case of other non-resident non-corporates)
Market Linked Debentures, Units of Specified Mutual Fund, Unlisted bonds or Unlisted debentures	NA	Slab rates for individuals 35% (in case of foreign company), 30% (in case of other non-resident non-corporates) (Note 1, 3 and 5)

Note 1: Tax rate is reduced to 25% in case of domestic companies having total turnover or gross receipts not exceeding INR 400 crore in the Financial Year 2023-24 (Assessment Year 2024-25). The tax rates for resident companies exercising the option under section 115BAA and section 115BAB of the ITA shall be 22% and 15% respectively, subject to fulfilment of conditions prescribed in the said sections.

Post the Finance Act 2023, the new Tax Regime under section 115BAC of the ITA is now the Default Tax Regime. Further, Individuals, HUF, AOP [other than a cooperative society], or BOI, whether incorporated or not, or an artificial juridical person referred to in clause (vii) of section 2(31) of the ITA may have an option to pay tax on their total income at the reduced tax rates as per 115BAC in the ITA. The income would however have to be computed without claiming prescribed deductions or exemptions.

The Finance Act, 2025 amended the income-tax slab rates under section 115BAC of the ITA as tabulated above in paragraph I. At present, the highest slab rate has been considered.

Note 2: The CBDT* has issued a notification to specify the transactions where the condition of payment of STT on acquisition would not apply for applying the applicable tax rate on transfer



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of listed equity shares.

As per Finance Act, 2024 the limit of exemption prescribed under section 112A of the Act has been increased from INR 100,000 to INR 125,000.

The LTCG above INR 125,000 on following transfers shall be taxable at 12.5% (plus surcharge and cess):

- listed equity shares (STT paid on acquisition and transfer)
- units of equity oriented mutual fund (STT paid on transfer); and
- units of business trust (STT paid on transfer)

Benefit of the computation of gains in foreign currency and cost inflation index shall not be available on such gains and the cost of acquisition of equity shares, equity oriented mutual fund or units of business trust shall be higher of:

- Actual cost of acquisition; and
- Lower of:
 - o Fair market value as on 31 January 2018; and
 - o Value of consideration received upon transfer

*The CBDT has issued a notification² providing certain specified transaction on which condition of paying STT at time of acquisition shall not apply for applying tax rate of 12.5%

Note 3: The Finance Act, 2023 introduced section 50AA of the ITA, whereunder the capital gains arising on transfer/redemption/maturity of a Specified Mutual Fund or a Market Linked Debenture are deemed to be short-term capital gains (irrespective of the period of holding). The Finance Act, 2024 expanded the scope of section 50AA to also cover unlisted bonds or unlisted debenture transferred or redeemed or matured on or after the 23rd day of July, 2024 within its ambit. Thus, such short-term capital gains are chargeable to tax at the applicable slab rates.

Further, "Market Linked Debenture" means a security by whatever name called, which has an underlying principal component in the form of a debt security and where the returns are linked to market returns on other underlying securities or indices and include any security classified or regulated as a Market Linked Debenture by the Securities and Exchange Board of India.

Furthermore, as per Finance Act, 2024, the definition of "Specified Mutual Fund" has been amended to:

- (a) a mutual Fund by whatever name called, which invest more than sixty five percent of the total proceeds in debt and money market instrument or;
- (b) a fund which invests sixty five percent or more of its proceeds in units of fund referred to in sub-clause (a)"



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Note 4: The Finance Act, 2024 amended section 48 of the Act so as to remove the indexation benefit while computing long-term capital gains for all taxpayers (other than long-term capital gains arising on unlisted shares acquired prior to 31 January 2018 and sold as part of Offer for sale)

Note 5: Without considering indexation benefit but after considering foreign exchange fluctuation benefit.

Note 6: Surcharge on capital gains taxable under section 111A or section 112 or section 112A of the ITA is restricted to 15%.

Note 7: In case the investments made by the NRI investors are entitled to be governed by the special tax provisions under Chapter XII-A of the ITA and if the NRI investors opt to be governed by these provisions under the ITA, (i) any long term capital gains should be taxable at the rate of 12.5% and (ii) any investment income (other than dividend) should be taxable at 20%

Note 8: In case of domestic companies exercising the option under section 115BAA and 115BAB, it is possible to argue that the lower rate of surcharge of 10% should be applicable.

Buy-back of shares by Company

Until now, the incidence of tax on buy-back of shares was on the Indian company under section 115QA of the ITA. Consequently, any income from buy back of shares was exempt in the hands of the shareholders under section 10(34A) of the ITA.

However, the Finance (No. 2) Act, 2024 has inserted sub-clause (f) to clause (22) of section 2 of the ITA pursuant to which any amount received by a taxpayer on buyback of shares (undertaken in accordance with provisions of the Companies Act, 2013) is to be taxed in the hands of the shareholder as “deemed dividend”. Further, no deduction for expenses shall be available against such deemed dividend income received by the shareholder on account of Buy-back of shares.

Further, post Finance Act, 2024, where the shareholder receives any consideration under section 2(22)(f) of the ITA from any company, in respect of any buy-back of shares, that takes place on or after the 1 October 2024, then the value of consideration received by the shareholder shall be deemed to be Nil. Consequently, the cost of acquisition of such shares bought back shall be treated as capital loss and such loss may be carried forward by the shareholder to future years for setoff in accordance with the provisions of the ITA. The period of holding is to be considered from the date of acquisition/allotment till the disposal of buyback shares.

III. Other relevant provisions of Income Tax Act

1 Deemed income on investment in shares / securities of companies in India



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Section 56(2)(x) of ITA provides that if a person acquires any property (which includes securities such as equity shares, debentures, preference shares, etc.) at a price which is lower than its FMV, then the difference between the FMV and actual consideration (if greater than INR 50,000) shall be taxable in the hands of the recipient of such security.

The rules for determining the FMV of securities (other than equity shares) have been prescribed under Rule 11UA of the Rules. As per the Rule 11UA of the Rules, the FMV of all other securities (other than equity shares) would be based on the market value of such shares and securities as certified by a merchant banker or chartered accountant.

The CBDT vide Notification No. 40/2020/F. No.370149/143/2019-TPL dated 29 June 2020 has substituted Rule 11UAC which provides that the above provision shall not apply to any sum of money or any property received from such class of persons and subject to fulfilment of conditions as prescribed.

Further, it has been provided that certain income, being any sum of money paid or any property situated in India transferred by a person resident in India to a person outside India, shall be deemed to accrue or arise in India.

Accordingly, in case it is held that Other Income is earned by the beneficiaries, such Other Income would be chargeable to tax at rate of 35% (being highest applicable rate of tax) plus applicable surcharge and health and education cess thereto, for investors who are non-resident companies. For other investors, it would be subject to tax at the base rate of tax of 30% (being highest applicable rate of tax) plus applicable surcharge and health and education cess thereto.

Further, the cost of the acquisition of the shares acquired would be deemed to be the FMV of the shares as determined above.

2 Minimum Alternate Tax

The ITA provides for levy of MAT on corporates. An investor being a company may need to consider the impact of investment in AIF in computing its book profits under MAT. MAT is chargeable at 15% of the book profits (plus applicable rate of surcharge and health and education cess), if such MAT amount calculated is higher than the tax amount calculated under the normal provisions of the ITA.

Further, the companies exercising the option under section 115BAA or 115BAB of the ITA have been excluded from the applicability of MAT. Also, MAT credit (if any) shall not be allowed to be carried forward once the said company exercises the option to avail reduced tax rates as mentioned above.

Further, the provisions relating to MAT shall not be applicable to a foreign company, in case

- (i) the assessee is a resident of a country or a specified territory with which India has an agreement referred to in sub-section (1) of section 90 or the Central Government has adopted any agreement under sub-section (1) of section 90A and the assessee does not have a permanent establishment in India in accordance with the provisions of such agreement; or
- (ii) the assessee is a resident of a country with which India does not have an agreement of the nature referred to in clause (i) and the assessee is not required to seek registration under any law for the time being in force relating to companies.



3 Conversion of convertible debentures

Conversion of debentures of a company into shares of that company is not regarded as a transfer under the ITA. Hence, no capital gains would arise in the hands of the investor on conversion of convertible debentures of a company into equity shares. At the time of transfer of the converted equity shares, the cost of acquisition of a convertible debenture would be deemed to be the cost of acquisition of such equity shares. CBDT, vide Notification No. 18/2016 dated 17 March 2016 effective from 1 April 2016, provided that in computing the period of holding of a share or debenture of a company, received on conversion of a bond or debenture, debenture-stock or deposit certificate of that company which is exempt as per the provisions of section 47(x) of the ITA, the period for which such convertible instrument was held by the taxpayer prior to the conversion shall also be included.

4 Conversion of Compulsorily Convertible Preference Shares/ Optionally Convertible Preference Shares

The Finance Act, 2017 had introduced a provision in the ITA to provide that the conversion of preference shares into equity shares will not be regarded as transfer under the ITA. Hence, no capital gains would arise in the hands of the beneficiary/ Investor on conversion of convertible preference shares of a company into equity shares of that company. At the time of transfer of equity shares received on conversion, the cost of acquisition of the convertible preference shares would be deemed to be the cost of acquisition of such equity shares. Further, while computing the period of holding of the equity shares, the period for which the convertible preference shares were held by the assessee prior to the conversion shall also be included.

5 Expenditure incurred in relation to income not includible in the total income

As per the provisions of section 14A read with rule 8D of the ITA, if any income of the Investor does not form part of the total income or is exempt under the provisions of the ITA then any expenditure incurred by the Investor, directly or indirectly, in relation to such income will not be allowed as deduction for the purpose of calculating the total taxable income of the Investor.

The ITA provides that this section shall always apply in a case where exempt income has not accrued or arisen or has not been received during the previous year relevant to an assessment year and the expenditure has been incurred during the said previous year in relation to such exempt income.

6 Capital Losses

As per the provisions of the ITA, short term capital loss can be set off against both short term capital gains and long term capital gains but long term capital loss can be set off only against long term capital gains. The unabsorbed short term and long term capital loss can be carried forward for 8 (eight) assessment years.

If gains / losses arising on transactions in derivatives is regarded as speculative business



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profits / losses. Such speculative business losses shall be allowed to be carried forward only for a period of 4 years and shall be set off against any other speculative business profits only.

7 Withholding tax on interest income on securities

Interest income on securities would be subject to withholding tax (currently, 10% exceeding INR 10,000, subject to having a PAN) at the time of credit / payment whichever is earlier, as per the provisions of section 193 of ITA. However, no tax is withheld at source on interest in case security is issued by a company in a dematerialized form and is listed on recognized stock exchange in India in accordance with the Securities Contracts (Regulation) Act, 1956, and the rules made thereunder.

In case where tax has to be deducted at source while paying debenture interest, the company is not required to deduct surcharge and cess.

The income tax provisions provide that where a recipient of income (which is subject to withholding tax) does not have a PAN, then tax is required to be deducted by the payer at higher of the following i.e. rates specified in relevant provisions of ITA, or rates in force or at 20%.

8 Withholding tax on interest income other than interest on securities

Interest income other than interest on securities would be subject to withholding tax (currently, 10% subject to having a PAN) at the time of credit / payment whichever is earlier, as per the provisions of section 194A of ITA.

ITA provides that where a recipient of income (which is subject to withholding tax) does not have a PAN, then tax is required to be deducted by the payer at higher of the following i.e. rates specified in relevant provisions of ITA, or rates in force or at 20%.

9 Income Stripping

As per section 94(1) of the ITA, where any person owning securities sells or transfers the same or similar securities and buys back or reacquires those securities and the result of the transaction is that any interest becoming payable in respect of the securities is receivable otherwise than by such owner, the said interest payable, whether it would or would not have been chargeable to income tax apart from the provisions of section 94(1) of the ITA, would be deemed to be the income of the owner of the securities and not to be the income of any other person subject to certain specified conditions.

As per section 94(2) of the ITA, where any person has had at any time during any previous year any beneficial interest in any securities, and the result of any transaction relating to such securities or the income thereof is that, in respect of such securities within such year, either no income is received by him or the income received by him is less than the sum to which the income would have amounted if the income from such securities had accrued from day to day and been apportioned accordingly, then the income from such securities for such year shall be deemed to be the income of such person.

10 Dividend stripping



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Where any person buys or acquires any securities or units of a mutual fund or the Unit Trust of India within a period of three months prior to the record date (i.e., the date that may be fixed by a company for the purposes of entitlement of the holder of the securities to receive dividend or by a Mutual Fund or the Administrator of the specified undertaking or the specified company, for the purposes of entitlement of the holder of the units to receive income, or additional unit without any consideration, as the case may be) and such person (i) sells or transfers such securities within a period of three months after record date, or (ii) such unit within a period of nine months after such record date, and (iii) the dividend or income on such securities or unit received or receivable by such person is exempt, then, any loss arising to such person on account of such purchase and sale of securities or unit, to the extent such loss does not exceed the amount of such dividend or income received or receivable, would be ignored for the purposes of computing his income chargeable to tax.

Further the ITA has extended the above provisions to securities as well and also modified the definition of unit, so as to include units of business trusts such as Infrastructure Investment Trust ('InvIT'), Real Estate Investment Trust ('REIT') and AIF, within the definition of "units".

11 Bonus stripping

Where any person buys or acquires any units of a mutual fund or the Unit Trust of India within a period of three months prior to the record date (i.e., the date that may be fixed by a Mutual Fund or the Administrator of the specified undertaking or the specified company, for the purposes of entitlement of the holder of the units to receive additional unit without any consideration) and such person is allotted additional units (without any payment) on the basis of holding of the aforesaid units on the record date, and if such person sells or transfers all or any of the original units within a period of nine months after the record date while continuing to hold all or any of the additional units, then any loss arising to him on account of such purchase and sale of all or any of the units would be ignored for the purpose of computing his income chargeable to tax. Further, the loss so ignored would be deemed to be the cost of acquisition of such additional units as are held by him on the date of sale or transfer of original units.

Further the ITA has extended the above provisions to "securities" as well and also modified the definition of "unit", so as to include units of business trusts such as Infrastructure Investment Trust ('InvIT'), Real Estate Investment Trust ('REIT') and AIF, within the definition of "units".

12 Withholding at a higher rate

Section 206AA of the ITA

The income tax provisions provide that where a recipient of income (which is subject to withholding tax) does not have a Permanent Account Number ("PAN"), then tax is required to be deducted by the payer at the higher of the following:

- (i) rates specified in the relevant provisions of the ITA; or



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- (ii) rates in force; or
- (iii) 20%.

The aforesaid rate of 20% shall be replaced by 5% in case tax is required to be deducted under section 194Q of the ITA.

In the case of non-residents not having a PAN, this provision requiring tax deduction at a higher rate does not apply if they furnish certain prescribed information/ documents. The CBDT had issued a notification granting certain relaxations from deduction of tax at a higher rate in the case of non-resident investors or a foreign company. The provisions of section 206AA of the ITA does not apply in respect of payments to be made which are in the nature of interest, royalty, fees for technical services, dividends and payments on transfer of any capital asset, provided the deductee furnishes certain details and specified documents to the deductor.

Section 206AB of the ITA

Section 206AB of the ITA deals with the deduction of tax at higher rates on payments made to non-filers of income-tax returns. Section 206AB of the ITA applies where any sum or income or amount is paid, or payable or credited, by a person to a specified person and tax is required to be deducted at source as per provisions of the ITA (except under sections 192, 192A, 194B, 194BA, 194BB, 194-IA, 194-IB, 194LBC, 194M, or 194N of the ITA).

The term 'specified person' has been defined to mean a person who has not filed the return of income for the assessment year relevant to the previous year immediately preceding the financial year in which tax is required to be deducted, for which the time limit of filing return of income under section 139(1) has expired; and the aggregate of tax deducted at source and tax collected at source in his case is INR 50,000 or more in the said previous years. Further, specified person shall not include a non-resident who does not have a permanent establishment in India or a person who is not required to furnish the return of income for the assessment year relevant to the said previous year and who is notified by the Central Government in the Official Gazette in this behalf.

In case the aforesaid section is applicable, tax shall be deducted at higher of the followings rates:

- (i) twice the rate specified in the relevant provision of the ITA; or
- (ii) twice the rate or rates in force; or
- (iii) the rate of five per cent.

If provisions of section 206AA and section 206AB of the ITA are applicable to a specified person, then, tax shall be deducted at higher of the two rates provided under the respective sections of the ITA.

However, as per Finance Act, 2025, the provision of section 206AB of the ITA has been omitted with effect from 01 April 2025.



(i) **Collection of tax at higher rate**

Section 206CC of the ITA

Section 206CC of the ITA provides that where any person paying any sum or amount (which is subject to collection of tax at source) does not furnish PAN, then tax is required to be collected by person responsible for collecting such tax at the higher of the following:

- at twice the rate specified in the relevant provision of this ITA, or
- 5%.

The aforesaid rate of 5% shall be replaced by 1% in case tax is required to be collected under section 206C(1H) of the ITA.

Section 206CCA of the ITA

Section 206CCA of the ITA deals with collection of tax at higher rates on payments made to non-filers of income-tax returns. The said section applies where tax is required to be collected at source under the provisions of Chapter XVII-BB, on any sum or amount received by a person from a specified person, the tax shall be collected at the higher of the following two rates:

- at twice the rate specified in the relevant provision of the ITA; or
- 5%.

In this context, the term 'specified person' means a person who has not filed the tax return for the assessment year relevant to the previous year immediately preceding the financial year in which tax is required to be collected, for which the time limit of filing return of income under section 139(1) has expired; and the aggregate of tax deducted at source and tax collected at source in his case is INR 50,000 or more in the said previous years. Further, the specified person to not include a non-resident who does not have a permanent establishment in India or a person who is not required to furnish the return of income for the assessment year relevant to the said previous year and who is notified by the Central Government in the Official Gazette in this behalf.

If provisions of section 206CC and section 206CCA of the ITA are applicable to a specified person, then, tax is required to be collected at higher of the two rates provided under the respective sections of the ITA.

However, as per Finance Act, 2025, the provision of section 206CCA of the ITA has been omitted with effect from 01 April 2025.

(ii) **Collection of tax at source**

Section 206C(1H) of the ITA mandates a seller to collect tax at source at the rate of 0.1% of the consideration value of the goods (likely to include shares and securities) sold exceeding value of INR 50 lakhs.



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The term 'seller' has been defined to mean a person whose total sales, gross receipts or turnover from the business carried on by him exceeds INR 10 crores during the financial year immediately preceding the financial year in which the sale of goods is carried out.

The seller shall not be required to collect tax at source under section 206C(1H), if the buyer is liable to deduct tax at source under any other provision of this ITA on the goods purchased by him from the seller and has deducted such amount.

The rate at which tax is required to be collected is to increase in specified situations (i.e., non-furnishing of the Permanent Account Number or the Aadhaar number to the seller or non-filing of returns subject to specified conditions).

The CBDT, in order to clarify on its applicability on transactions carried through various stock exchanges, issued a circular dated 29 September 2020. Per the said circular, it is clarified that the provisions of section 206C(1H) should not be applicable to transactions in securities traded through recognized stock exchange or cleared and settled by the recognized clearing corporation.

The CBDT further issued guidelines to address various issues arising on applicability of the provisions of section 206C(1H) of the ITA.

However, as per Finance Act, 2025, the provision of section 206C(1H) of the ITA shall not be effective from 01 April 2025.

13. Tax Treaty Benefits for non-resident investors

As per section 90(2) of ITA, the provisions of ITA would apply to the extent they are more beneficial than the provisions of the Double Taxation Avoidance Agreement (**Tax Treaty**) between India and the country of residence of the offshore investor to the extent of availability of Tax Treaty benefits to the offshore investors. However, no assurance can be provided that the Tax Treaty benefits will be available to the offshore investor or the terms of the Tax Treaty will not be subject to amendment or reinterpretation in the future.

14. Tax Residency Certificate (TRC)

The section 90(4) of ITA provides that in order to claim Tax Treaty benefits, the offshore investor has to obtain a TRC as issued by the foreign tax authorities. Further, the offshore investor shall be required to furnish such other information or document as prescribed. In this connection, the CBDT vide its notification dated 1 August 2013 amended Rule 21AB of the Rules prescribing certain information in Form No 10F to be produced along with the TRC, if the same does not form part of the TRC. Recently, there have been amendments to state that the Form 10F needs to be furnished online for non-residents as well.

The details required to be furnished are as follows:

- Status (individual, company, firm, etc.) of the assessee;
- Nationality (in case of an individual) or country or specified territory of incorporation or registration (in case of others);



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- Assessee's tax identification number in the country or specified territory of residence and in case there is no such number, then, a unique number on the basis of which the person is identified by the Government of the country or the specified territory of which the assessee claims to be a resident;
- Period for which the residential status, as mentioned in the TRC, is applicable; and
- Address of the assessee in the country or specified territory outside India, during the period for which the certificate is applicable.

The additional information prescribed above may not be required to be provided if it already forms a part of the TRC.

The assessee (i.e. non-resident) should be required to keep and maintain the documents that are necessary to substantiate the above information. Further, an income-tax authority may ask for the said documents from the assessee in relation to a claim of benefit under the tax treaty.

15. General Anti Avoidance Rule (GAAR)

GAAR may be invoked by the Indian income-tax authorities in case arrangements are found to be impermissible avoidance arrangements. A transaction can be declared as an impermissible avoidance arrangement, if the main purpose of the arrangement is to obtain a tax benefit and which satisfies one of the four tests mentioned below:

- Creates rights or obligations which are ordinarily not created between parties dealing at arm's length;
- It results in directly / indirectly misuse or abuse of ITA;
- It lacks commercial substance or is deemed to lack commercial substance in whole or in part; or
- It is entered into or carried out in a manner, which is not normally employed for bona fide business purposes.

In such cases, the tax authorities are empowered to reallocate the income from such arrangement or re-characterise or disregard the arrangement. Some of the illustrative powers are:

- Disregarding or combining or re-characterizing any step of the arrangement or party to the arrangement;
- Ignoring the arrangement for the purpose of taxation law;
- Relocating place of residence of a party, or location of a transaction or situs of an asset to a place other than provided in the arrangement;
- Looking through the arrangement by disregarding any corporate structure; or
- Re-characterizing equity into debt, capital into revenue, etc.

The above terms should be read in context of the definitions provided under the Act. Further,



the onus to prove that the main purpose of an arrangement was not to obtain any tax benefit is on the taxpayer. Also, any resident or non-resident may approach the Authority for Advance Rulings to determine whether an arrangement can be regarded as an impermissible avoidance arrangement. The GAAR provisions shall be applied in accordance with such guidelines and subject to such conditions and manner as may be prescribed.

The GAAR provisions would override the provisions of a Tax Treaty in cases where GAAR is invoked. The necessary procedures for application of GAAR and conditions under which it shall not apply, have been enumerated in Rules 10U to 10UC of the Rules. The Rules provide that GAAR will not be invoked unless the tax benefit in the relevant year does not exceed INR 3 crore.

The CBDT has issued clarifications on 27 January 2017 with respect to implementation of GAAR provisions in response to various queries received from the stakeholders and industry associations. Some of the important clarifications issued are as under:

- Where tax avoidance is sufficiently addressed by the limitation of benefit clause in a Tax Treaty, GAAR shall not be invoked.
- GAAR shall not be invoked merely on the ground that the entity is located in a tax efficient jurisdiction.
- GAAR is with respect to an arrangement or part of the arrangement and limit of INR 3 crore cannot be read in respect of a single taxpayer only.

16 Place of effective management:

A non-resident investor is subject to taxation in India only if;

- it is regarded a tax resident of India; or
- being a non-resident in India, it derives (a) Indian-sourced income; or (b) if any income is received/ deemed to be received in India; or (c) if any income has accrued / deemed to have accrued in India in terms of the provisions of the IT Act.

Per Section 6 of the IT Act, a foreign company is treated as a tax resident in India if its place of effective management ('POEM') is in India in that year. POEM has been defined to mean a place where key management and commercial decisions that are necessary for the conduct of the business of an entity are, in substance made. In case, the foreign company has a POEM in India, it qualifies as a resident of India for tax purposes and consequently, its worldwide income is taxable in India. In this connection, the CBDT issued a notification dated 22 June 2018, prescribing special provisions regarding taxation of foreign companies which are regarded as residents in India on account of its POEM being in India. Further, the foreign company might also not be entitled to claim the benefits of a Tax Treaty between India and the country of residence of the foreign company.

The CBDT had *vide* its Circular dated 24 January 2017, issued guiding principles for



determination of POEM of a Company ('POEM Guidelines'). The POEM guidelines lay down emphasis on POEM concept being 'substance over form' and further provides that place where the management decisions are taken would be more important than the place where the decisions are implemented for determining POEM.

The CBDT had vide circular dated 23 February 2017, clarified that provisions of Sec 6(3)(ii) relating to POEM do not apply to companies having turnover or gross receipts less than or equal to INR 50 crores during the Financial Year.

17. Foreign Account Tax Compliance Act (FATCA)

According to the Inter-Governmental Agreement read with the FATCA provisions, foreign financial institutions in India are required to report tax information about US account holders to the Indian Government. The Indian Government has enacted rules relating to FATCA reporting in India. A statement is required to be provided online in Form 61B for every calendar year by May 31. The Reporting Financial Institution is expected to maintain and report the following information with respect to each reportable account:

- (a) the name, address, taxpayer identification number ['TIN' (assigned in the country of residence)] and date and place of birth ['DOB', 'POB' (in the case of an individual)];
- (b) where an entity has one or more controlling persons that are reportable persons:
 - the name and address of the entity, TIN assigned to the entity by the country of its residence; and
 - the name, address, DOB, POB of each such controlling person and TIN assigned to such controlling person by the country of his residence;
- (c) account number (or functional equivalent in the absence of an account number);
- (d) account balance or value (including, in the case of a cash value insurance contract or annuity contract, the cash value or surrender value) at the end of the relevant calendar year;
- (e) the total gross amount paid or credited to the account holder with respect to the account during the relevant calendar year; and
- (f) in case of any account held by a non-participating financial institution (NPFI), for the calendar years 2015 and 2016, the name of NPFI and aggregate amount of such payments.

Further, it also provides for specific guidelines for conducting due diligence of reportable accounts, viz. US reportable accounts and other reportable accounts.

Furthermore, as per sub-section (2) in the section 271FAA of the ITA, if there is any inaccuracy in the statement of financial transactions submitted by a prescribed reporting



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financial institution and such inaccuracy is due to false or inaccurate information submitted by the account holder, a penalty of INR 5000 shall be imposed on such institution, in addition to the penalty leviable on such financial institution in the said section, if any. This penalty shall be levied by the income tax authority prescribed under sub-section (1) of section 285BA of the ITA. The reporting financial institution may recover the amount so paid on behalf of the account holder or retain out of any moneys that may be in its possession or may come to it from every such reportable account holder.

Now, the Finance Act, 2024 amended that with effect from 1 October 2024, the penalty of INR 50,000 will be levied (i) for furnishing inaccurate information in the statement of financial transaction or reportable account, or (ii) for failing to comply with due diligence requirements in said statement under the provisions of section 271FAA of the Act. Also, no penalty will be imposed for any failure, if the assessee proves that there was reasonable cause for such failure.

IV. Other Applicable Taxes

1 Securities Transaction Tax

STT is payable on the sale of securities made through a recognised stock exchange at the prescribed rates. Accordingly, the following transactions inter-alia, will be subject to a STT levied on the transaction value.

Transactions/Particulars	Payable by Purchaser	Payable by Seller
Purchase / sale of an equity share in a company - delivery based transaction in recognised stock exchange	0.1%	0.1%
Sale of a unit of an equity oriented mutual fund - delivery based transaction in recognised stock exchange	Nil	0.001%
Sale of equity share in a company or unit of an equity oriented mutual fund – transaction in a recognised stock exchange, settled otherwise than by actual delivery	N.A.	0.025%
Sale of unlisted shares under an offer for sale to the public	N.A	0.2%
Sale of an option in securities	N.A	0.0625%
Sale of an option in securities, where option is exercised	0.125%	N.A.
Sale of futures in securities	N.A.	0.0125%

2. Good and Service Tax



Under Goods and Service Tax ("GST") regime, Central GST and State GST is levied on all intra-state supplies of goods and / or services, and Integrated GST shall be levied on imports and all supplies of goods and / or services undertaken in the course of inter-State trade or commerce. The slab rates for the levy of GST on the supply of goods/ services are fixed at 3%, 5%, 12%, 18% and 28% and Cess as applicable.

15. Accounting Policy

The following Accounting policy will be applied for the investments of Clients:

Investments in Equities, Mutual funds, Exchange Traded Funds and Debt instruments will be valued at closing market prices of the exchanges (BSE or NSE as the case may be) or the Repurchase Net Asset Value declared for the relevant scheme on the date of the report or any cut-off date or the market value of the debt instrument at the cut-off date. Alternatively, the last available prices on the exchange or the most recent NAV will be reckoned. In case of structured products, the portfolio will be valued at the face value of the product until the expiry of the tenure.

- A. Realized gains/ losses will be calculated by applying the first in / first out principle. The Portfolio Manager and the Client can adopt any specific norms or methodology for valuation of investments or accounting the same as may be mutually agreed between them on a case specific basis.
- B. Unrealised gains/losses are the differences in between the current market values/NAV and the historical cost of the securities.
- C. Dividend on equity shares and interest on debt instruments shall be accounted on accrual basis. Further Mutual Fund dividend shall be accounted on receipt basis. Other income like bank interest, interest on Fixed Deposits, etc. shall also be accounted on receipt basis.
- D. Bonus shares shall be recognized only when the original shares on which the bonus entitlement accrues are traded on the stock exchange on an ex-bonus basis.
- E. Right entitlement shall be recognized only when the original shares on which the right entitlement accrues are traded on the stock exchange on an ex-rights basis.

The cost of investment acquired or purchased shall include brokerage, stamp duty and any charge customarily included in the brokers cost note/bought note.

The Accounting Policies and Standards as outlined above are subject to changes made from time to time by Portfolio Manager. However, such changes would be in conformity with the Regulations.

16. Investor Services

- (i) **Name, address, and telephone number of the investor relation officer who shall attend to the investor queries and complaints:**
Mrs. Aarti Pawar



506, Maker Chamber V, Nariman Point, Mumbai - 400 021

Tel: 022-26141459

Email: pms@dalal-broacha.com

This Disclosure Document's soft copy is also displayed on our web site at following path:

https://www.dalal-broacha.com/downloadable_forms.html

(Select PMS – Disclosure)

(i) Grievance redressal and dispute settlement mechanism:

The Client can approach the office of the Portfolio Manager for redressal of their grievances. For this purpose, Mrs. Aarti Pawar has been appointed as the Investor Relations Officer. Apart from that, Compliance Officer's Details are as follows:

Mr. Praful N. Trivedi

506, Maker Chamber V, Nariman Point, Mumbai - 400 021

Tel: 022- 26141468

Email: compliance.officer@dalal-broacha.com

Investor may also register/ lodge complaints online on **SCORES 2.0 (SEBI COMPLAINTS REDRESS SYSTEM)** portal. URL: <https://scores.sebi.gov.in/> by clicking on "Complaint Registration" under "Investor Corner"

FILING COMPLAINTS ON SCORES - EASY & QUICK

- a. Register on SCORES portal
- b. Mandatory details for filing complaints on SCORES:
 - i. Name, PAN, Address, Mobile Number, E-mail ID
- c. Benefits:
 - i. Effective communication
 - ii. Speedy redressal of the grievances

INVESTOR GRIEVANCE REDRESSAL MECHANISM

- (i) The complaint received shall be recorded in the complaint register and the same shall be forwarded to the Compliance Officer with comments thereof.
- (ii) The Compliance Officer and/ or Principal Officer shall study/ investigate the complaint and offer the reply to the complainant. This process shall be completed in one week.
- (iii) Unresolved complaint for more than one week shall be forwarded to the Whole Time Directors. The said complaints then shall be resolved in one week of time. Hence, the complaint shall be resolved within 15 days from the date of the receipt of the complaint.
- (iv) Resolved complaint shall be recorded as resolved in the complaint register.



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- (v) The investor shall be advised to adopt appropriate remedy in case the complaint is not resolved to his satisfaction.
- (vi) The complaint register shall be placed before the monthly meeting of the PMS department with the Whole Time Director to see whether all the complaints received are resolved or the complaints are advised to adopt appropriate remedy.

In the event of disputes, differences, claims any question between the parties hereto arising out of this Agreement or in any way relating hereto or any term, condition or provision herein mentioned or the construction or interpretation thereof or otherwise in relation hereto, the parties shall first endeavor to settle such differences, disputes, claims or questions by amicable settlement failing which, the same shall be referred to the arbitration of two arbitrators, one to be appointed by the Portfolio Manager and the other by the Client and such arbitrators shall appoint a presiding Arbitrator before commencing the arbitration proceedings. The arbitration shall be held in accordance with the Arbitration and Conciliation Act, 1996 or any statutory modification or re-enactment thereof for the time being in force and shall be held in Mumbai and conducted in the English language. The Courts in Mumbai alone shall have jurisdiction over such arbitration proceedings.

17. Dispute and grievance settlement mechanism

All disputes, differences, claims, and questions, whatsoever, which shall arise either during the subsistence of the agreement with the client or afterwards, with regard to the terms thereof or any

clause or thing contained therein or otherwise in any way relating to or arising there from or the interpretation of any provisions therein shall be, at the first instance, settled by mutual discussions, failing which the same shall be referred settled in accordance with the provisions of the Arbitration and conciliation Act, 1996 in the form existing at the point of time. Such arbitration proceedings will be held at Mumbai or any other place where the Portfolio Manager thinks fit and will be conducted in English.

The agreement with the Client shall be governed by, construed, and enforced in accordance with the laws of India. Any action or suit involving the agreement with a Client or the performance of the agreement by either party of their obligations will be conducted exclusively in Courts located within the city of Mumbai in the state of Maharashtra, India.

18. General

Acts done in good faith

Any act, thing or deed done in good faith in pursuance of or with reference to the information provided in the application or other communication received from the Client will constitute good and full discharge of the obligation of the Portfolio Manager.



In case of copies of the documents/ other details such as list of authorised signatories, that are submitted by a limited company, body corporate, registered society, trust or partnership, if the same are not specifically authenticated to be certified true copies but are attached to the application form and / or submitted to the Fund, the onus for authentication of the documents so submitted shall be on such investors and the Portfolio Manager will accept and act on these in good faith wherever the documents are not expressly authenticated.

Submission of these documents/ details by such investors shall be full and final proof of the corporate Client's authority to invest and the Portfolio Manager shall not be liable under any circumstances for any defects in the documents so submitted. In cases where there is a change in the name of such client, such change will be affected by the Portfolio Manager only upon receiving the duly certified copy of the revised Certificate of Incorporation issued by the relevant Registrar of Companies/ Registering Authority.

In cases where the change PAN Number reflecting the name change is not submitted, such transactions accompanied by duly certified copy of the revised Certificate with a copy of the old Pan Card and confirmation of application made for new PAN Card along with amended PAN Card copy will be required as a documentary proof.

19. Prevention of Money Laundering:

Prevention of Money Laundering Act, 2002 ('PML Act') came into effect from July 1, 2005 vide Notification No. GSR 436 (E) dated July 1, 2005 issued by the Department of Revenue, Ministry of Finance, and Government of India. Further SEBI vide its Circular No. ISD/CIR/RR/AML/1/06 dated January 18, 2006 mandated that all intermediaries including Portfolio Managers should formulate and implement a proper policy framework as per the guidelines on anti-money laundering measures and also to adopt a "Know Your Customer" (KYC) policy. The intermediaries may, according to their requirements specify additional disclosures to be made by clients for the purpose of identifying, monitoring, and reporting incidents of money laundering and suspicious transactions undertaken by clients. SEBI has further issued Circular No. ISD/CIR/RR/AML/2/06 dated March 20, 2006 advising all intermediaries to take necessary steps to ensure compliance with the requirement of section 12 of the PML Act requiring inter-alia maintenance and preservation of records and reporting of information relating to cash and suspicious transactions to Financial Intelligence Unit – India (FIU-IND). The PML Act, the Rules issued there under and the guidelines/circulars issued by SEBI thereto, as amended from time to time, are hereinafter collectively referred to as 'AML laws'. Further SEBI vide its Circular No. SEBI/HO/MIRSD/DOS3/CIR/P/2018/104 dated July 04, 2018 mandated that all Intermediaries including Portfolio Managers should formulate and implement a proper policy framework as per the guidelines on anti-money laundering.

The Client(s) where Client is a minor, should ensure that the amount invested through the services offered by the Portfolio Manager is through legitimate sources only and does not involve and is not designated for the purpose of nay contravention or evasion of the provisions of the Income tax Act, AML Laws, Prevention of Corruption Act and/ or any other applicable law in force and also any laws enacted and also any laws enacted by the Government of India from time to time or any rules, regulations, notifications or directions issued there under.



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To ensure appropriate identification of the Client(s) under its KYC policy and with a view to monitor transactions in order to prevent money laundering, the Portfolio Manager reserves the right to seek information, record investor's telephonic calls and/or obtain and retain documentation for establishing the identity of the investor, proof of residence, source of funds, etc. it may re-verify and obtain any incomplete or additional information for this purpose, including through the use of third party databases, personal visits, or any other means as may be required for the Portfolio Manager to satisfy themselves of the investor(s) identity, address and other personal information.

The Client(s) and their Attorney(ies), if any, shall produce reliable, independent source documents such as photographs, certified copies of Aadhar Card/ Ration Card/ Passport/ Driving License / PAN card etc. and/ or such other documents or produce such information as may be required from time to time for verification of the personal details of the Client(s) including inter alia identify, residential address(es), occupation and financial information by the Portfolio Manager. If the Client(s), their attorney(ies), or the person making payment on behalf of the Client(s), refuses/ fails to provide the required documents/ information within the period specified by the Portfolio Manager then the Portfolio Manager shall have absolute discretion to freeze the Account of the Client(s), reject any application(s) and effect mandatory repayment/ returning of Assets of the Account of the Client(s) subject to the fees payable to the Portfolio Manager, if any. The Portfolio Manager shall also, after application of appropriate due diligence measures, have absolute discretion to report any transactions to FIU-IND that it believes are suspicious in nature within the purview of the AML Laws and/ or on account of deficiencies in the documentation provided by the Client(s) and the Portfolio Manager shall have no obligation to advise investors or distributors of such reporting. The KYC documentation requirements shall also be complied with by the persons becoming the client by virtue of operation of law e.g., transmission, etc. The Portfolio Manager, and its Directors, employees, agents and service providers shall not be liable in any manner for any claims arising whatsoever on account of freezing the Account/ rejection of any application or mandatory repayment/ returning of funds/ Asset of the Account due to non-compliance with the provisions of the AML Laws and KYC policy and/ or where the Portfolio Manager believes that transaction is suspicious in nature within the purview of the AML Laws and /or reporting the same to FIU-IND.

20. Client Information:

The Portfolio Manager shall presume that the identity of the Client and the information disclosed by him is true and correct. It will also be presumed that the funds invested by the Client through the services of the Portfolio Manager come from legitimate sources/ manner and the investor is duly entitled to invest the said funds. Where the funds invested are for the benefit of a person (beneficiary) other than the person in whose name the investments are made and/or registered, the Client shall provide an undertaking that the Client is holding the funds/ Securities in his name is legally authorized/ entitled to invest the said funds through the services of the Portfolio Manager, for the benefit of the beneficiaries. Notwithstanding anything contained in this Disclosure Document, the provisions of the Regulations and the guidelines there under shall be applicable. Investors are advised to read the Disclosure Document carefully before entering into an agreement with the Portfolio Manager.



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21. Client Risk profiling

We appraise the client about our investment style which is long term investing. We also inform him about the short-term risks involved in this strategy as the portfolio would be skewed towards mid cap stocks and inform him that mid cap stocks are more susceptible to volatility as compared to large cap stocks.

We advise clients that she/ he should invest only those funds that he is unlikely to require in the short term. However clearly informing him that he can seek redemption at any point in time.

We accept only those clients who clearly understand this strategy and do not accept clients with low-risk appetite.

22. Foreign Account Tax Compliance Act (FATCA):

The Hiring Incentives to Restore Employment Act (the "Hire Act") was signed into US law in March 2010. It includes provisions generally known as FATCA. The intention of these is that details of U.S. investors holding assets outside the US will be reported by financial institutions to the IRS, as a safeguard against U.S. tax evasion. As a result of the Hire Act, and to discourage non-U.S. financial institutions from staying outside this regime, financial institutions that do not enter and comply with the regime will be subject to a 30% penalty withholding tax with respect to certain U.S. source income (including dividends) and gross proceeds from the sale or other disposal of property that can produce U.S. source income. Sections 1471 through 1474 of the U.S. Internal Revenue Code impose a 30% withholding tax on certain payments to a foreign financial institution ("FFI") if that FFI is not compliant with FATCA. The Company is a FFI and thus, subject to FATCA. Beginning 1 July 2014, this withholding tax applies to payments to the Company that constitute interest, dividends and other types of income from U.S. sources (such as dividends paid by a U.S. corporation) and beginning on 1 January 2017, this withholding tax is extended to the proceeds received from the sale or disposition of assets that give rise to U.S. source dividend or interest payments. These FATCA withholding taxes may be imposed on payments to the Company unless (i) the Company becomes FATCA compliant pursuant to the provision FATCA and the relevant regulations, notices and announcement issued thereunder, or (ii) the Company is subject to an appropriate Intergovernmental Agreement to improve international tax compliance and to implement FATCA. The Company intends to comply with FATCA in good time to ensure that none of its income is subject to FATCA withholding.

India has entered into Inter Governmental Agreement ("IGA") with USA on 9th July 2015 and has notified Income Tax rules for compliance with FATCA regulations. Further, India has also signed a multilateral agreement on June 3, 2015, to automatically exchange information based on Article 6 of the Convention on Mutual Administrative Assistance in Tax Matters under the Common Reporting Standard (CRS). The Portfolio Manager intends to take any measures that may be required to ensure compliance under the terms of the IGA and local implementing regulations. In order to comply with its FATCA/ CRS obligations, the Company will be required to obtain certain information from its investors so as to ascertain their tax status. If the investor is a specified person, or does, not provide the requisite documentation, the Company may need to report information on these investors to the appropriate tax authority, as far as legally permitted. If any



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investor or any intermediary through which it holds its interest in the Company either fails to provide the Company, its agents or authorised representatives with any correct, complete, and accurate information that may be required for the company to comply with FATCA/ CRS, the investor may be subject to withholding on amounts otherwise distributable to the investor, may be compelled to sell its interest in the Company or, in certain situations, the investor's interest in the Company may be sold involuntarily. The Company may at its discretion enter into any supplemental agreement without the consent of investors to provide for any measures that the Company deems appropriate or necessary to comply with FATCA/ CRS, subject to this being legally permitted under the IGA or the Indian laws and regulations. Other countries are in the process of adopting tax legislation concerning the reporting of information. The Company also intends to comply with such other similar tax legislation that may apply to the Company although the exact parameters of such requirements are not yet fully known. As a result, the Company may need to seek information about the tax status of investors under such other country's laws and each investor for disclosure to the relevant governmental authority. Investors should consult their own tax advisors regarding the FATCA/ CRS requirements with respect to their own situation. In particular, investors who hold their Units through intermediaries should confirm the FATCA/CRS compliance status of those intermediaries to ensure that they do not suffer FATCA/CRS withholding tax on their investment returns.

23. SEBI Scores Platform:

As referred under Investor Relations details, SEBI has launched a centralized web-based complaints redress system (SCORES), which enable investors to lodge and follow up their complaints and track the status of redressal of such complaints from anywhere. This also enables the market intermediaries and listed companies to receive the complaints from investors against them, redress such complaints and report redressal. All the activities starting from lodging of a complaint till its disposal by SEBI would be carried online in an automated environment and the status of every complaint can be viewed online at any time. An investor, who is not familiar with SCORES or does not have access to SCORES, can lodge complaints in physical form. However, such complaints would be scanned and uploaded in SCORES for processing.

24. Investor Charter in Respect of Portfolio Management Services

Vision and Mission Statements for investors.

Vision:

To implement diligently researched customised investment strategies which help investors meet their long-term financial goals in a risk appropriate manner.

Mission:

To ensure that the PMS industry provides a viable investment avenue for wealth creation by adopting high levels of skill, integrity, transparency and accountability.

A. Details of business transacted by the organization with respect to the investors.

- a. Appropriate risk profiling of investors
- b. To provide Disclosure Document to investors



- c. Executing the PMS agreement
- d. Making investment decisions on behalf of investors (discretionary) or investment decisions taken at the discretion of the Investor (non-discretionary) or advising investors regarding their investment decisions (advisory), as the case may be.

B. Details of services provided to investors and estimated timelines:-

i. Discretionary & Non-Discretionary Portfolio Management Services (PMS):-

Under these services, all an investor has to do, is to give his portfolio in any form i.e. in stocks or cash or a combination of both. The minimum size of the portfolio under the Discretionary and/ or Non-Discretionary Funds Management Service should be Rs.50 lakhs as per the current SEBI Regulations. However, the PMS provider reserves the right to prescribe a higher threshold product-wise or in any other manner at its sole discretion. The PMS provider will ascertain the investor's investment objectives to achieve optimal returns based on his risk profile. Under the Discretionary Portfolio Management service, investment decisions are at the sole discretion of the PMS provider if they are in sync with the investor's investment objectives. Under the Non-Discretionary Portfolio Management service, investment decisions taken at the discretion of the Investor.

ii. Investment Advisory Services: -

Under these services, the Client is advised on buy/sell decision within the overall profile without any back-office responsibility for trade execution, custody of securities or accounting functions. The PMS provider shall be solely acting as an Advisor to the Client and shall not be responsible for the investment/divestment of securities and/or administrative activities on the client's portfolio. The PMS provider shall act in a fiduciary capacity towards its Client and shall maintain arm's length relationship with its other activities. The PMS provider shall provide advisory services in accordance with guidelines and/or directives issued by the regulatory authorities and/or the Client from time to time in this regard.

iii. Client On-boarding

- a. Ensuring compliance with KYC and AML guidelines.
- b. franking & signing the Power of Attorney to make investment decisions on behalf of the investor.
- c. opening demat account and funding of the same from the investor's verified bank account and/or transfer of securities from verified demat account of the investor an
- d. Mapping the said demat account with Custodian.

iv. Ongoing activities

- a. To provide periodic statements to investors as provided under the PMS Regulations 2020 and other SEBI notifications and circulars ("PMS Regulations") and
- b. Providing each client an audited account statement on an annual basis which includes all the details as required under the PMS Regulations.

v. Fees and Expenses

Charging and disclosure of appropriate fees & expenses in accordance with the PMS regulations.



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vi. Closure and Termination

Upon termination of PMS Agreement by either party, the securities and the funds lying in the account of the investor shall be transferred to the verified bank account / demat account of the investor.

vii. Grievance Redressal

Addressing in a time bound manner investor's queries, service requests and grievances, if any, on an ongoing basis.

Timelines of the services provided to investors are as follows:

Sr. No	Service / Activity	Timeline
1	Opening of PMS account (including demat account) for residents.	7 days from receipt of all requisite documents from the client, subject to review of the documents for accuracy and completeness by portfolio manager and allied third party service providers as may be applicable.
2	Opening of PMS account (including demat account) for non-individual clients.	14 days from receipt of all requisite documents from the client, subject to review of the documents for accuracy and completeness by portfolio manager and allied third party service providers as may be applicable.
3	Opening of PMS account (including demat account, bank account and trading account) for non-resident clients.	14 days from receipt of all requisite documents from the client, subject to review of the documents for accuracy and completeness by portfolio manager and allied third party service providers as may be applicable.
4	Registration of nominee in PMS account and demat account.	Registration of nominee should happen along with account opening, therefore turnaround time should be same as account opening turnaround time.
5	Modification of nominee in PMS account and demat account.	10 days from receipt of requisite nominee modification form, subject to review of the documents for accuracy and completeness by portfolio manager and allied third party service providers as may be applicable.
6	Uploading of PMS account in KRA and CKYC database.	10 days from date of account opening (Portfolio Manager may rely on the custodian for updating the same).
7	Whether portfolio manager is registered with SEBI, then SEBI registration number.	At the time of client signing the agreement; this information should be a part of the account opening form and disclosure document
8	Disclosure about latest networth of portfolio manager and total AUM.	Disclosure of portfolio manager's total AUM - monthly to SEBI Disclosure of latest networth should be done in the disclosure document whenever there are any material changes.
9	Intimation of type of PMS account – discretionary.	At the time of client signing the agreement; this information should be a part of the account opening form.
10	Intimation of type of PMS	At the time of client signing the agreement; this



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	account - non discretionary.	information should be a part of the account opening form.
11	Intimation to client what discretionary account entails and powers that can be exercised by portfolio manager.	At the time of client signing the agreement; this information should be a part of the account opening form.

Sr. No	Service / Activity	Timeline
12	Intimation to client what non-discretionary account entails and powers that can be exercised by portfolio	At the time of client signing the agreement; this information should be a part of the account opening form.
13	Copy of executed PMS agreement sent to client.	Within 3 days of client request.
14	Frequency of disclosures of available eligible funds.	All details regarding client portfolios should be shared quarterly (point 26).
15	Issuance of funds and securities balance statements held by client.	This data should be shared on a quarterly basis or upon client request.
16	Intimation of name and demat account number of custodian for PMS account.	Within 3 days of PMS and demat account opening.
17	Conditions of termination of contract.	At the time of client signing the agreement; this information should be a part of the account opening form.
18	Intimation regarding PMS fees and modes of payment or frequency of deduction.	At the time of client signing the agreement; this information should be a part of the account opening form.
19	POA taken copy providing to client.	Within 3 days of client request.
20	Intimation to client about what all transactions can portfolio manager do using POA.	At the time of client signing the agreement; this information should be a part of the account opening form.
21	Frequency of providing audited reports to clients	Annual.
22	Explanation of risks involved in investment.	At the time of client signing the agreement; this information should be a part of the account opening form.
23	Intimation of tenure of portfolio investments.	Indicative tenure should be disclosed at the time of client signing the agreement; this information should be a part of the account opening form.
24	Intimation clearly providing	Negative list of securities should be taken from the



	restrictions imposed by the investor on portfolio manager.	client at the time of client signing the agreement; this information should be a part of the account opening form.
25	Intimation regarding settling of client funds and securities.	Settlement of funds and securities is done by the Custodian. The details of clients' funds and securities should be sent to the clients in the prescribed format not later than on a quarterly basis.
Sr. No	Service / Activity	Timeline
26	Frequency of intimation of transactions undertaken in portfolio account.	Not later than on a quarterly basis or upon clients' request.
27	Intimation regarding conflict of interest in any transaction.	The portfolio manager should provide details of related party transactions and conflict of interest in the Disclosure Document which should be available on website of portfolio manager at all times.
28	Timeline for providing disclosure document to investor.	The latest disclosure document should be provided to investors prior to account opening and the latest disclosure documents should be available on website of portfolio manager at all times. 29 Intimation to investor about Within 3 days of PMS and demat account
29	Intimation to investor about details of bank accounts where client funds are kept.	Within 3 days of PMS and demat account opening
30	Redressal of investor grievances.	Within 30 days, subject to all the information required to redress the complaint is provided by the complainant to the portfolio manager

Notes: The number of days in the above timelines indicate clear working days

C. Details of grievance redressal mechanism and how to access it

1. It is mandatory for every PMS provider to register itself on SEBI SCORES (SEBI Complaint Redress System). SCORES is a centralised online complaint resolution system through which the complainant can take up his grievance against the PMS provider and subsequently view its status.
(<https://scores.gov.in/scores/Welcome.html>)
2. The details such as the name, address and telephone number of the investor relations officer of the PMS provider who attends to the investor queries and complaint should be provided in the PMS Disclosure document.
3. The grievance redressal and dispute mechanism should be mentioned in the Disclosure Document.
4. Investors can approach SEBI for redressal of their complaints. On receipt of complaints, SEBI takes up the matter with the concerned PMS provider and follows up with them.
5. Investors may send their complaints to: Office of Investor Assistance and Education, Securities and Exchange Board of India, SEBI Bhavan. Plot No. C4- A, 'G' Block, Bandra-Kurla Complex, Bandra (E), Mumbai - 400 051.



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D. Expectations from the investors (Responsibilities of investors)

1. Check registration status of the intermediary from SEBI website before availing services.
2. Submission of KYC documents and application form in a timely manner with signatures in appropriate places and with requisite supporting documents.
3. Read carefully terms and conditions of the agreement before signing the same.
4. Thorough study of the Disclosure Documents of the PMS to accurately understand the risks entailed by the said investment in PMS.
5. Accurate and sincere answers given to the questions asked in the 'Risk Questionnaire' shall help the PMS provider properly assess the risk profile of the investor.
6. Thorough study of the quarterly statements sent by the PMS provider to the investor intimating him about the portfolio's absolute and relative performance, its constituents and its risk profile.
7. Ensure providing complete details of negative list of securities as part of freeze instructions at the time of entering into PMS agreement and every time thereafter for changes, if any, in a timely manner.
8. To update the PMS provider in case of any change in the KYC documents and personal details and to provide the updated KYC along with the required proof.

25. Grievance details as on March 2025

Sr. No.	Received from	Pending at the end of last month	Received	Resolved*	Total Pending#	Pending complaints > 3 months	Average Resolution time^ (in days)
1	Directly from Investors	0	0	0	0	0	0
2	SEBI (SCORES)	0	0	0	0	0	0
3	Other Sources (if any)	0	0	0	0	0	0
	Grand Total	0	0	0	0	0	0

^ Average Resolution time is the sum total of time taken to resolve each complaint in days, in the current month divided by total number of complaints resolved in the current month.

Trend of monthly disposal of complaints

Sr. No.	Month	Carried forward from previous month	Received	Resolved*	Pending#
1	April 2024	0	0	0	0



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2	May 2024	0	0	0	0
3	June 2024	0	0	0	0
4	July 2024	0	0	0	0
5	Aug 2024	0	0	0	0
6	Sep 2024	0	0	0	0
7	Oct 2024	0	0	0	0
8	Nov 2024	0	0	0	0
9	Dec 2024	0	0	0	0
10	Jan 2025	0	0	0	0
11	Feb 2025	0	0	0	0
12	Mar 2025	0	0	0	0
	Grand Total	0	0	0	0

*Inclusive of complaints of previous months resolved in the current month.

#Inclusive of complaints pending as on the last day of the month

Trend of annual disposal of complaints

SN	Year	Carried forward from previous year	Received	Resolved**	Pending##
1	2018-19	0	2	2	0
2	2019-20	0	0	0	0
3	2020-21	0	0	0	0
4	2021-22	0	0	0	0
5	2022-23	0	0	0	0
6	2023-24	0	0	0	0
7	2024-25	0	0	0	0
	Grand Total	0	2	2	0

** Inclusive of complaints of previous years resolved in the current year.

Inclusive of complaints pending as on the last day of the year.

26. Details of investments in the securities of related parties of the Portfolio Manager

Investments in the securities of associates/related parties of Portfolio Manager:

Sr. No	Investment Approach, if any	Name of the associate/related party	Investment amount (cost of investment) as on last day of the previous calendar quarter (INR in crores)	Value of investment as on last day of the previous calendar quarter (INR in crores)	percentage of total AUM as on last day of the previous calendar quarter
There are no such investments.					

27. INVESTMENT APPROACH

LONG TERM GROWTH



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Following paras document investment philosophy adopted by Dalal & Broacha Stock Broking Pvt Ltd (Portfolio Manager) while managing the client funds to achieve client's investment objectives.

At D&B, we believe in Long Term Growth. The longer you stay invested, the more you earn, and the rewards keep growing.

We follow following approach while managing the client funds

- Do Risk Profiling of The Client: Assess risk tolerance/ risk Appetite of the client
- Assess financial goals of the client
- Optimise Resource Allocation in accordance with Risk Profile and Financial Goals of the clients
- Regular Risk Management and protect earnings from market Risk
- Improve portfolio proficiency
- Maximize Returns and achieve long term financial goals of the clients

Strategy

India is a growth economy with a very large young population and rising per capita income.

The fund would endeavor to invest in such businesses that can take advantage of this opportunity offered by India's growth story and grow the portfolio significantly in the coming years.

Accordingly, our strategy would be focused mostly on Equity.

AGGRESSIVE GROWTH STRATEGY

The strategy would be sector agnostic and would endeavor to invest in undervalued companies that can generate good cash flows over a longer period.

The fund will have a concentrated portfolio.

For Dalal & Broacha Stock Broking Pvt. Ltd

Nailesh Dalal

Director

Vipul Dalal

Director

Mumbai: 30/04/2025



**SCHEDULE OF FEES
ANNEXURE - I**

The Client shall pay to the Portfolio Manager as per selection of the Portfolio Management Fees as hereunder provided:

Discretionary Services:

I) For Pure Advisory Services, A fixed advisory fee of 1% of the portfolio or Rs. 1,000/- flat, whichever is higher would be charged




**SCHEDULE OF FEES
ANNEXURE - II**

The Client shall pay to the Portfolio Manager as per selection of the Portfolio Management Fees as hereunder provided:

Discretionary Services:

II) For LONG TERM GROWTH

a) For PMS, where only fixed management fee is opted for, the fee would be as follows:

Fixed Management Fee

- In first year, a Fixed Management Fee of 2 % per annum; of the quantum of funds managed; is applicable. The fixed management fee is payable, at the end of each quarter, pro-rata (@ 0.50%) of the quantum of funds managed.
- The Fixed Management Fee is payable; notwithstanding any withdrawals; within the period of one year.
- From second year, a Fixed Management Fee is payable, at the end of each quarter, pro-rata (@0.50%) based on quarterly closing NAV.
- There would be no minimum tenure prescribed for any of the portfolio management services offered by the Portfolio Manager.

Example for scheme, where only fixed management fee is opted for

Year 1

Assumptions								
Capital Contribution (Rs.)	a	50,00,000						
Management Fee (%age per annum)	b	2.00%						
Other Expenses	c	0.15%						
Brokerage and Transaction cost	d	0.20%						
Fixed Fee Illustration			Scenario 1		Scenario 2		Scenario 3	
			Gain of	20%	Loss of	- 20%	No Change	0%
Capital Contributed / Assets under Management	i	i = a	50,00,000		50,00,000		50,00,000	
Gain / (Loss) on Investment based on the Scenario	ii	ii= i*Scenario	10,00,000		-10,00,000			-
Gross Value of the Portfolio at the end of the year	iii	iii= I + ii	60,00,000		40,00,000		50,00,000	



Average assets under management	iv	$iv = (i + iii) / 2$	55,00,000	45,00,000	50,00,000
Other Expense	v	$v = iv \times c$	-8,250	-6,750	-7,500
Brokerage and Transaction cost	vi	$vi = (iv \times d)$	-11,000	-9,000	-10,000
Management Fees	vii	$vii = (i \times b)$	-1,00,000	-1,00,000	-1,00,000
Total charges during the year	viii	$viii = v + vi + vii$	-1,19,250	-1,15,750	-1,17,500
Net value of the Portfolio at the end of the year	ix	$ix = iii + viii$	58,80,750	38,84,250	48,82,500
% Portfolio Return	x	$x = ((ix - i) / i) \%$	17.62%	-22.32%	-2.35%

Year 2

Assumptions								
Capital Contribution (Rs.)	a	50,00,000						
Management Fee (%age per annum)	b	2.00%						
Other Expenses	c	0.15%						
Brokerage and Transaction cost	d	0.20%						
Fixed Fee Illustration			Scenario 1		Scenario 2		Scenario 3	
			Gain of	20%	Loss of	- 20%	No Change	0%
Capital Contributed / Assets under Management	i	$i = a$	50,00,000		50,00,000		50,00,000	
Gain / (Loss) on Investment based on the Scenario	ii	$ii = i \times \text{Scenario}$	10,00,000		-10,00,000		-	
Gross Value of the Portfolio at the end of the year	iii	$iii = i + ii$	60,00,000		40,00,000		50,00,000	
Average assets under management	iv	$iv = (i + iii) / 2$	55,00,000		45,00,000		50,00,000	
Other Expense	v	$v = iv \times c$	-8,250		-6,750		-7,500	
Brokerage and Transaction cost	vi	$vi = (iv \times d)$	-11,000		-9,000		-10,000	
Management Fees	vii	$vii = (iii + v + vi)$	-1,19,615		-79,685		-99,650	



		x b			
Total charges during the year	viii	viii = v + vi + vii	-1,38,865	-95,435	-1,17,150
Net value of the Portfolio at the end of the year	ix	ix = iii + viii	58,61,135	39,04,565	48,82,850
% Portfolio Return	x	$x = ((ix - i) / i) \%$	17.22%	-21.91%	-2.34%

b) For PMS, where fixed management fee and performance-based fee is opted for, the fee would be as follows:

Fixed Management Fee

- In first year, a Fixed Management Fee of 1 % per annum of the quantum of funds managed is applicable. The fixed management fee is payable; at the end of each quarter; pro-rata (@ 0.25%) of the quantum of funds managed.
- The Fixed Management Fee is payable; notwithstanding any withdrawals; within the period of one year.
- From second year a Fixed Management Fee is payable; at the end of each quarter; pro-rata (@ 0.25%) based on quarterly closing NAV.
- There would be no minimum tenure prescribed for any of the portfolio management services offered by the Portfolio Manager.

In addition to the fixed fee, the following performance-based fee will also be charged if this option has been chosen by the client

Performance Fee

- A Performance Fee is chargeable on Profits; based on closing NAV; 12 months from the date of inception of the PMS Account
- Performance Fees are chargeable @ 10% of Profits.
- NAV is calculated as: Market value of portfolio + Cash + Dividend/Interest/Other Receivables-Liabilities.
- For e.g., Initial corpus – Rs. 1 Cr
Management Fee - Rs. 1 Lakh
Closing NAV 12 months from date of inception- Rs. 1.5 Cr
Profit - Rs.. 50 Lakhs
Performance Fee - 10% of Profit
Hence, Performance Fee 10% of 50 Lakhs i.e., Rs 5 Lakhs
- Performance Fee for year 2 onwards is applicable on the basis of the “high watermark” principle



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Year 1

Assumptions								
Capital Contribution (Rs.)	a	50,00,000						
Management Fee (%age per annum)	b	1.00%						
Other Expenses (%age per annum)	c	0.15%						
Performance (%age per annum)	d	10.00%						
Hurdle Rate of Return (%age per annum)	e	0.00%						
Brokerage and Transaction cost	f	0.20%						
Fixed Fee Illustration			Scenario 1		Scenario 2		Scenario 3	
			Gain of	20%	Loss of	- 20%	No Change	0%
Capital Contributed / Assets under Management	i	i = a	50,00,000		50,00,000		50,00,000	
Gain / (Loss) on Investment based on the Scenario	ii	ii= i*Scenario	10,00,000		-10,00,000		-	
Gross Value of the Portfolio at the end of the year	iii	iii= i + ii	60,00,000		40,00,000		50,00,000	
Daily Weighted Average assets under management	iv	iv= (i + iii) / 2	55,00,000		45,00,000		50,00,000	
Other Expense	v	v= iv x c	-8,250		-6,750		-7,500	
Brokerage and Transaction cost	vi	vi= iv x f	-11,000		-9,000		-10,000	
Management Fees	vii	vii = i x b	-50,000		-50,000		-50,000	
Total charges before Performance fee.	viii	viii = v + vi + vii	-69,250		-65,750		-67,500	
Gross Value of the Portfolio before Performance fee	ix	ix = iii + viii	59,30,750		39,34,250		49,32,500	
High Water Mark Value (HWM) (Capital contributed for 1st year and second year onwards as defined in the PMS agreement.	x		50,00,000		50,00,000		50,00,000	
Hurdle Rate of return or as defined in the PMS agreement	xi	xi = i x e	0		0		0	



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Gross Value of the Portfolio before Performance fee is greater than High Water Mark Value + Hurdle rate of return	xii	xii = ix > (x+xi) then Yes else No P Fees	Yes	No Pfee	No Pfee
If Yes, proceed to performance fee calculation else 0 (zero) performance fee for the period)					
Portfolio return subject of Performance Fee	xiii	xiii = ix - x - xi	9,30,750	0	0
Performance fee	xiv	xiv = xiii x d	-93,075	0	0
Net value of the Portfolio at the end of the year after all fees and expenses	xv	xv = ix + xiv	58,37,675	39,34,250	49,32,500
% Portfolio Return	xvi	xvi = ((xv - i) / i) %	16.75%	-21.32%	-1.35%
High Water Mark to be carried forward for next year. When performance fee is charged from the portfolio itself.	xvii	xvii = Max (x , xv)	58,37,675	50,00,000	50,00,000
High Water Mark to be carried forward for next year. When performance fee is paid separately by the investor to the PM.	xvii	xvii = Max (ix , x)	59,30,750	50,00,000	50,00,000

Year 2

Assumptions								
Capital Contribution (Rs.)	a	50,00,000						
Management Fee (%age per annum)	b	1.00%						
Other Expenses (%age per annum)	c	0.15%						
Performance (%age per annum)	d	10.00%						
Hurdle Rate of Return (%age per annum)	e	0.00%						
Brokerage and Transaction cost	f	0.20%						
Fixed Fee Illustration			Scenario 1		Scenario 2		Scenario 3	
			Gain of	20%	Loss of	- 20%	No Change	0%



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Capital Contributed / Assets under Management	i	$i = a$	50,00,000	50,00,000	50,00,000
Gain / (Loss) on Investment based on the Scenario	ii	$ii = i * \text{Scenario}$	10,00,000	-10,00,000	-
Gross Value of the Portfolio at the end of the year	iii	$iii = i + ii$	60,00,000	40,00,000	50,00,000
Daily Weighted Average assets under management	iv	$iv = (i + iii) / 2$	55,00,000	40,00,000	50,00,000
Other Expense	v	$v = iv \times c$	-8,250	-6,750	-7,500
Brokerage and Transaction cost	vi	$vi = iv \times f$	-11,000	-9,000	-10,000
Management Fees	vii	$vii = (iii + v + vi) \times b$	-59,808	-39,843	-49,825
Total charges before Performance fee.	viii	$viii = v + vi + vii$	-79,058	-55,593	-67,325
Gross Value of the Portfolio before Performance fee	ix	$ix = iii + viii$	59,20,943	39,44,408	49,32,675
High Water Mark Value (HWM) (Capital contributed for 1st year and second year onwards as defined in the PMS agreement.	x		58,37,675	50,00,000	50,00,000
Hurdle Rate of return or as defined in the PMS agreement	xi	$xi = i \times e$	0	0	0
Gross Value of the Portfolio before Performance fee is greater than High Water Mark Value + Hurdle rate of return	xii	$xii = ix > (x + xi)$ then Yes else No P Fees	Yes	No Pfee	No Pfee
If Yes, proceed to performance fee calculation else 0 (zero) performance fee for the period)					
Portfolio return subject of Performance Fee	xiii	$xiii = ix - x - xi$	83,268	0	0
Performance fee	xiv	$xiv = xiii \times d$	-8,327	0	0
Net value of the Portfolio at the end of the year after all fees and expenses	xv	$xv = ix + xiv$	59,12,616	39,44,408	49,32,675
% Portfolio Return	xvi	$xvi = ((xv - i) / i) \%$	18.25%	-21.11%	-1.35%



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High Water Mark to be carried forward for next year. When performance fee is charged from the portfolio itself.	xvii	$xvii = \text{Max}(x, xv)$	59,12,616	50,00,000	50,00,000
High Water Mark to be carried forward for next year. When performance fee is paid separately by the investor to the PM.	xvii	$xvii = \text{Max}(ix, x)$	59,20,943	50,00,000	50,00,000



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**SCHEDULE OF FEES
ANNEXURE - IV**

The Client shall pay to the Portfolio Manager as per selection of the Portfolio Management Fees as hereunder provided:

Discretionary Services:

IV) Mutual Fund Portfolio Management Services

There will not be any management fees for the services as the company would be entitled to a commission from the mutual funds in whose schemes it would invest.



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**SCHEDULE OF FEES
ANNEXURE - V**

The Client shall pay to the Portfolio Manager as per selection of the Portfolio Management Fees as hereunder provided:

Discretionary Services:

V) Aggressive long term capital appreciation Portfolio Management Services

Fixed Management Fee

- In first year, a Fixed Management Fee of 0.60 % per annum; of the quantum of funds managed; is applicable. The fixed management fee is payable, at the end of each quarter, pro-rata (@ 0.15%) of the quantum of funds managed.
- The Fixed Management Fee is payable; notwithstanding any withdrawals; within the period of one year.
- From second year, a Fixed Management Fee is payable, at the end of each quarter, pro-rata (@0.15%) based on quarterly closing NAV.
- There would be no minimum tenure prescribed for any of the portfolio management services offered by the Portfolio Manager.

Year 1

Assumptions								
Capital Contribution (Rs.)	a	50,00,000						
Management Fee (%age per annum)	b	0.60%						
Other Expenses	c	0.15%						
Brokerage and Transaction cost	d	0.20%						
Fixed Fee Illustration			Scenario 1		Scenario 2		Scenario 3	
			Gain of	20%	Loss of	- 20%	No Change	0%
Capital Contributed / Assets under Management	i	i = a	50,00,000		50,00,000		50,00,000	
Gain / (Loss) on Investment based on the Scenario	ii	ii= i*Scenario	10,00,000		-10,00,000		-	
Gross Value of the Portfolio at the end of the year	iii	iii= i + ii	60,00,000		40,00,000		50,00,000	
Average assets under management	iv	iv= (i + iii) / 2	55,00,000		45,00,000		50,00,000	



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Other Expense	v	$v = iv \times c$	-8,250	-6,750	-7,500
Brokerage and Transaction cost	vi	$vi = (iv \times d)$	-11,000	-9,000	-10,000
Management Fees	vii	$vii = (i \times b)$	-30,000	-30,000	-30,000
Total charges during the year	viii	$viii = v + vi + vii$	-49,250	-45,750	-47,500
Net value of the Portfolio at the end of the year	ix	$ix = iii + viii$	59,50,750	39,54,250	49,52,500
% Portfolio Return	x	$x = ((ix - i) / i) \%$	19.02%	-20.92%	-0.95%

Year 2

Assumptions								
Capital Contribution (Rs.)	a	50,00,000						
Management Fee (%age per annum)	b	0.60%						
Other Expenses	c	0.15%						
Brokerage and Transaction cost	d	0.20%						
Fixed Fee Illustration			Scenario 1		Scenario 2		Scenario 3	
			Gain of	20%	Loss of	- 20%	No Change	0%
Capital Contributed / Assets under Management	i	$i = a$	50,00,000		50,00,000		50,00,000	
Gain / (Loss) on Investment based on the Scenario	ii	$ii = i \times \text{Scenario}$	10,00,000		-10,00,000		-	
Gross Value of the Portfolio at the end of the year	iii	$iii = i + ii$	60,00,000		40,00,000		50,00,000	
Average assets under management	iv	$iv = (i + iii) / 2$	55,00,000		45,00,000		50,00,000	
Other Expense	v	$v = iv \times c$	-8,250		-6,750		-7,500	
Brokerage and Transaction cost	vi	$vi = (iv \times d)$	-11,000		-9,000		-10,000	
Management Fees	vii	$vii = (iii + v + vi) \times b$	-35,885		-23,906		-29,895	
Total charges during the year	viii	$viii = v + vi + vii$	-55,135		-39,656		-47,395	

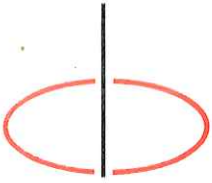


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Net value of the Portfolio at the end of the year	ix	$ix = iii + viii$	59,44,866	39,60,345	49,52,605
% Portfolio Return	x	$x = ((ix - i) / i) \%$	18.90%	-20.79%	-0.95%



NDAHA
Shalal



DALAL & BROACHA STOCK BROKING PVT. LTD.

BSE / NSE - SEBI REG. NO. INZ000210337 DT. 28.11.2018 • CIN NO. U67120MH1997PTC111186

MEMBER : B.S.E. ★ N.S.E. ★ D.P. - CDSL ★ I.P.O. ★ FIXED INCOME ★ MUTUAL FUNDS

REGD. & ADMN. OFFICE : 506, MAKER CHAMBERS V, 221, NARIMAN POINT, MUMBAI - 400 021.

Tel. : 2282 2992 / 2287 6173 / 6714 1414 • Fax : 2287 0092 • Email : db@dalal-broacha.com

Compliance Officer : Praful Trivedi • Tel : 2282 2992 • Email : compliance.officer@dalal-broacha.com



FORM C

SECURITIES AND EXCHANGE BOARD OF INDIA (PORTFOLIO MANAGERS) REGULATIONS, 2020 (Regulation 22)

DALAL & BROACHA STOCK BROKING PVT.LTD.

(Name of the Portfolio Manager)

506, Maker Chambers-V, 221,
Nariman Point,
Mumbai-400 021

Tel.no.:22822992 / 67141410, Fax no.: 22870092

Email ID: db@dalal-broacha.com, pms@dalal-broacha.com

(Address of the Portfolio Manager including phone number, fax and email)

We confirm that:

- The Disclosure Document forwarded to the Board is in accordance with the SEBI (Portfolio Managers) Regulations, 2020 and the guidelines and directives issued by the Board from time to time;
- The disclosures made in the document are true, fair and adequate to enable the investors to make a well informed decision regarding entrusting the management of the portfolio to us / investment in the Portfolio Management Services;
- The Disclosure Document has been duly certified by an independent chartered accountant M/s Lovi Mehrotra & Associates, 5, (2nd Floor) Tardeo A.C. Market, Tardeo, Mumbai – 400 034 Tel.: 23520788/23510885 & Membership No.105709 on 12th June 2025.

(Enclosed a copy of the chartered accountants' certificate to the effect that the disclosures made in the document are true, fair and adequate to enable the investors to make a well informed decision)

For Dalal & Broacha Stock Broking Pvt.Ltd.

N P Dalal

DATE : 31/03/2025

Place: Mumbai



Principal Officer

Name and Address of Principal Officer

Mr. Nailesh P. Dalal

506, Maker Chamber V,

221, Namiman Point, Mumbai – 400 021

LOVI MEHROTRA & ASSOCIATES

CHARTERED ACCOUNTANTS

5, 2nd Floor Tardeo A.C Market, Tardeo
Mumbai – 400 034 Tel.: 23520788 , 23510885

The Board of Directors,
Dalal & Broacha Stock Broking Private Limited,

Certificate under regulation 22 of Securities and Exchange Board of India (Portfolio Managers) Regulations, 2020

We have been requested by M/s Dalal & Broacha Stock Broking Private Limited (the Company) having registered office at 506, Maker Chamber V, Nariman Point, Mumbai -400 021 and having SEBI Registration No. INPO00001975 dated March 16, 2007, to certify the contents and information provided in the Disclosure Document dated April 30, 2025 ("Disclosure Document") required to be filed with the Securities and Exchange Board of India (SEBI) as per Regulation 22 of SEBI (Portfolio Managers) Regulations, 2020.

Management's responsibility

The management of the Company is responsible for the maintenance of the books of account and such other relevant records as prescribed by applicable laws, which includes collecting, collating and validating data and designing, implementing and monitoring of internal controls relevant for the preparation and presentation of Disclosure Document.

The Disclosure Document and compliance with the Securities and Exchange Board of India (Portfolio Managers) Regulations, 2020 is the responsibility of the management of the Company.

Our responsibility

We have not performed an audit, the objective of which would be expression of an opinion on the financial statements, specified elements, accounts or items thereof, for the purpose of this certificate. Accordingly, we do not express such an opinion.

For the purpose of this certificate, we have planned and performed the required procedures to determine whether anything has come to our attention that causes us to believe that the aforementioned Disclosure Document is not in compliance with the SEBI Regulations.

We have verified Disclosure Document and the details with the respective documents by the Management of the Company and have relied on various representations made to us by the Management wherever necessary.

We have relied on the representation given by the management about the penalties or litigation against the Portfolio Manager mentioned in the Disclosure Document. We are unable to comment on the same.



Conclusion

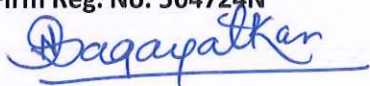
Based on the procedures performed by us, evidence obtained and information and explanations provided by the Company, nothing has come to our attention that causes us to believe that the Disclosure Document is not, in all material aspects, in compliance with the SEBI Regulations.

Based on our examination of attached Disclosure Document and other relevant records and information furnished by Management, we certify that

- a) the disclosures made in the Disclosure Document are true, fair and correct
- b) the information provided in the Disclosure Document is adequate to enable the investors to make a well-informed decision.

This certificate is issued solely to comply with Regulation 22 of Securities and Exchange Board of India (Portfolio Managers) Regulations, 2020 (as amended from time to time) and may not be suitable for any other purpose. Accordingly, our certificate should not be quoted or referred to in any other document or made available to any other person or persons other than being part of Disclosure Document without our prior written consent. Also, we neither accept nor assume any duty or liability for any other purpose or to any other party to whom our certificate is shown or into whose hands it may come without our prior written consent.

For Lovi Mehrotra & Associates
Chartered Accountants
Firm Reg. No. 504724N



Shashank N Bagayatkar
Partner
Membership No. 105709
ICAI UDIN No 25105709BMLAVW6956

Mumbai,
June 12, 2025